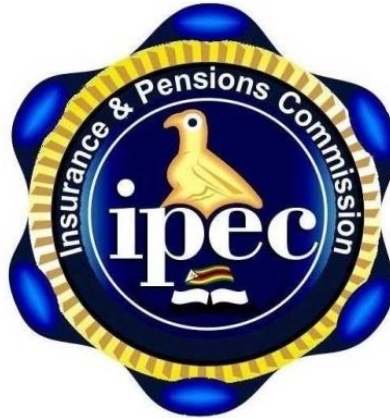




INSURANCE AND PENSIONS COMMISSION (IPEC)

REPORT ON

SHORT TERM (NON-LIFE) INSURANCE

FOR THE QUARTER ENDED 30 JUNE 2013

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List of Acronyms and Abbreviations

GPW	—	Gross Premium Written
IBNR	—	Incurred But Not Reported
IPEC/Commission	—	Insurance and Pensions Commission
NEP	—	Net Earned Premium
NPW	—	Net Premium Written
ROA	-	Return on Assets
ROE	—	Return on Equity
UPR	—	Unearned Premium Reserve

Note: Unless stated otherwise, all monetary figures are in United States Dollars

Executive Summary

This report analyses the performance of the non-life insurance industry during the period ended 30 June 2013. There were twenty three (23) operational non-life insurance companies and nine operational reinsurers as at 30 June 2013. Twenty nine (29) insurance brokers and three (3) reinsurance brokers were registered as at 30 June 2013. The non-life industry continued to witness growth in volume of business generated in terms of gross premium written. Total gross premium written by non-life insurers amounted to \$117.82 million for the six months ended 30 June 2013, of which \$50.04 million was generated through insurance brokers. Non-life reinsurers, on the other hand, reported total gross premium of \$60.30 million of which \$29.21 million was generated through locally registered reinsurance brokers. Motor and fire insurance continued to be the dominant classes of business for the short term insurance industry. Two insurers reported capital positions which were below the prudential minimum of \$750,000. Two other insurers reported solvency margins which were below the regulatory minimum of 25%. All reinsurance companies were compliant with both the minimum capital requirement as well as the minimum solvency margin. Three brokers reported capital levels which were below \$100,000. Total assets for the non-life insurance industry amounted to \$330.84 million as at 30 June 2013 up from \$326.27 million reported as at 31 March 2013. The quality of assets especially for non-life underwriters continued to be constrained by high levels of premium debtors. There was no significant change in the proportion of risk retained by both non-life insurers and reinsurers. The retention ratios decreased marginally from 53.24% and 70.11% for the half year period ended 30 June 2012 to 51.64% and 69.35% respectively during the period under review. The Commission noted with comfort that all the underwriters provided for reserves which was not the case in the past. Although the volume of profit generated by non-life insurers improved, the increase did not translate into improved value for shareholders. The return on equity deteriorated from 14.50% reported for the half year ended 30 June 2012 to 12.31% reported for the period under review. In the case of reinsurers, profitability improved both in terms of its volume as well as return to equity and assets. Insurance and reinsurance brokers reported profits amounting to \$0.79 million and \$0.5 million respectively. The liquidity position of the non-life insurers as well as that of reinsurers continued to be seriously compromised by high levels of illiquid assets such premium debtors.

SECTION A

1. SHORT-TERM (NON-LIFE) INSURANCE COMPANIES

1.1. Number of Direct Non-life Insurers

The number of registered non-life insurers remained twenty eight (28) as at 30 June 2013, reflecting no change from the number reported as at 31 March 2013. Twenty three (23) of these registered non-life insurers, were operational. Initiatives to cancel the registration or lift suspension of the non-operational insurers are ongoing and the market will be updated of any further developments as and when the need arises.

1.2. Trend and Distribution of Business

Total gross premium written by direct non-life insurers for the half year ended 30 June 2013 amounted to \$117.82 million, which indicates a 7.56% increase from \$109.53 million reported in the comparative period in 2012. The growth in total gross premium was buoyed by increases in business generated from motor insurance as well as bonds/guarantees which amounted to \$5.10 million and \$2.44 million respectively. The growth in all the business classes is shown in Table 2 below.

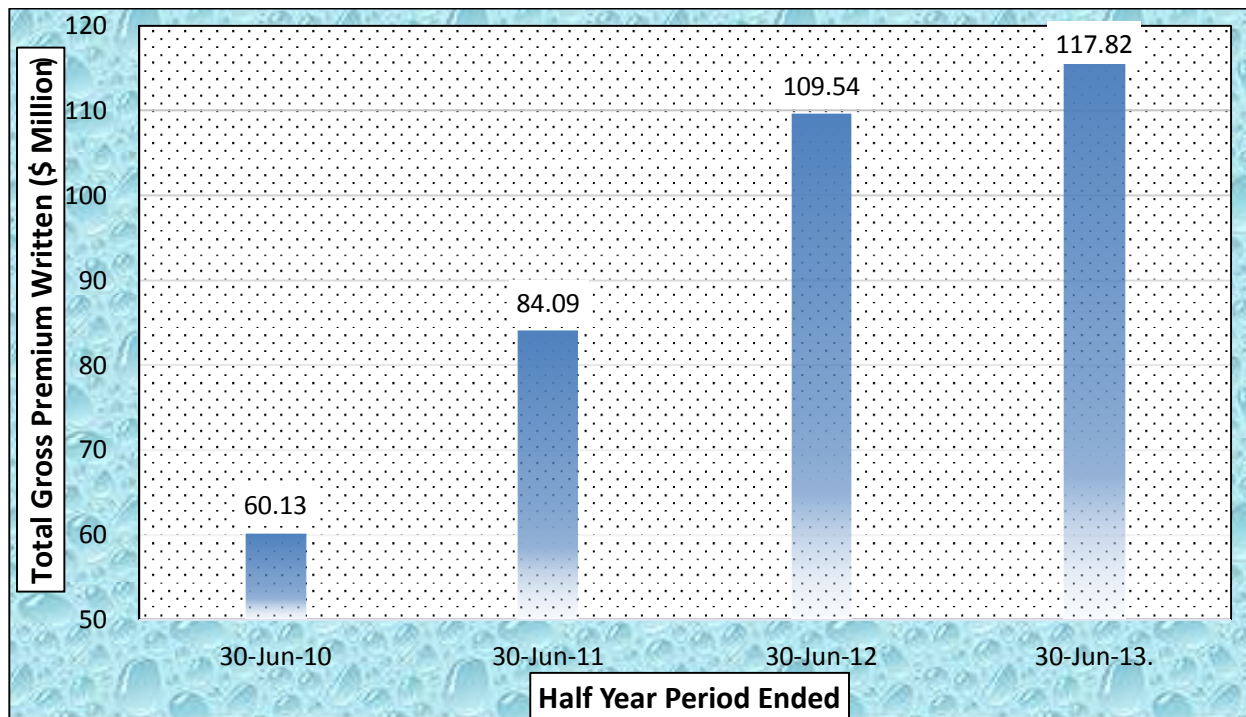
Relative to the business written, insures ceded more business to reinsurers during the six months ended 30 June 2013 compared to the year 30 June 2012 as shown in Table 1 below. This is also evidenced by a growth rate in reinsurance premiums of 11.25% which was more than the growth in total gross premium. This implies a marginal decrease in the risk appetite of the direct insurers. Other indicators of the trend of business are shown in the table 1 below.

Table 1: Business Written (\$)

Indicator	30 June 2012	30 June 2013	Percentage Change
Gross Premium Written	109,534,712	117,819,638	7.56%
Reinsurance Premium	51,215,719	56,977,562	11.25%
Net Premium Written	58,318,993	60,842,076	4.33%
Net Earned Premium	48,937,927	51,836,857	5.92%

Whilst total gross premium written (GPW) by the non-life insurers was on the upward trend since 2010 as shown in Figure 1 below, the growth rate in GPW slowed down from 40.06% in 2011, 30.27% in 2012 and 7.56% in 2013. This may imply that the short term insurance industry is approaching its maturity phase.

Figure 1: Total Gross Premium Written for the Six Months Periods Ended 30 June Since 2010



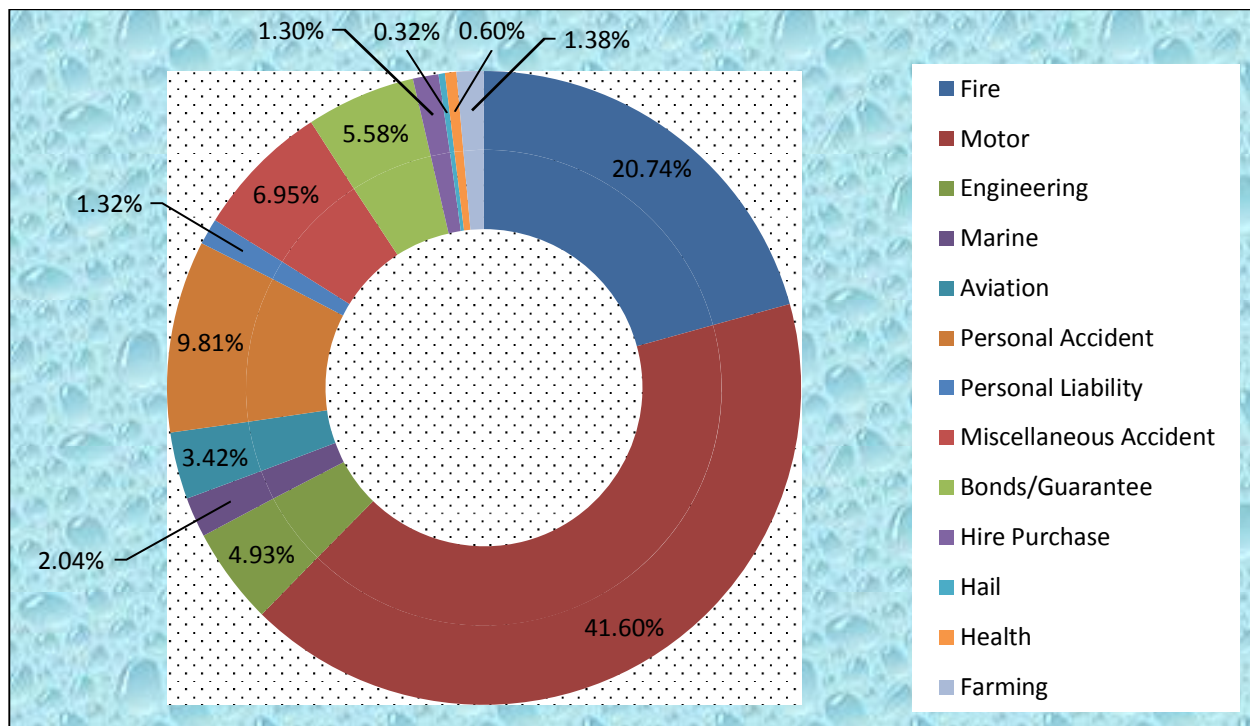
Aviation and hire purchase insurance were the fastest growing business classes in terms of business written, with growth rates of 97.34% and 81.34% respectively, as shown in Table 2 below. Hail and marine insurance were the least performing classes of insurance in terms of growth in business generated.

There were no significant changes in the distribution of business written with motor and fire insurance remained the dominant sources of business written. The two classes contributed 62.34% of total gross premium written during the period ended 30 June 2013. Figure 2 below shows the breakdown of gross premium written in terms of business classes.

Table 2: Gross Premium Written by Class of Business (\$)

Contribution by Class	30 June 2012	30 June 2013	Percentage Change
Aviation	2,042,637	4,030,887	97.34%
Bonds/Guarantee	4,135,528	6,573,900	58.96%
Engineering	6,973,836	5,803,545	-16.78%
Farming	1,731,683	1,626,931	-6.05%
Fire	22,931,823	24,441,567	6.58%
Hail	4,198,705	382,400	-90.89%
Health	631,424	702,729	11.29%
Hire Purchase	845,698	1,533,564	81.34%
Marine	3,002,011	2,407,902	-19.79%
Miscellaneous Accident	7,524,187	8,185,784	8.79%
Motor	43,921,701	49,018,607	11.60%
Personal Accident	10,043,166	11,555,237	15.06%
Personal Liability	1,552,313	1,556,585	0.28%
Total	109,534,712	117,819,638	7.56%

Figure 2: Distribution of Insurers' Gross Premium Written by Business Class



1.3. Capitalization

As shown in table 3 below, all direct non-life insurers except Allied Insurance Company and Excellence Insurance Company reported capital levels which were above the regulatory minimum capital requirement of \$750,000 effective 30 June 2013. Although the capital levels for the two institutions were below the regulatory minimum, they were in sync with the level of business the said insurers wrote as shown by the solvency ratios for the two insurers in figure 3 below. Notwithstanding the foregoing, the Commission is constantly engaging the two insurers to ensure regularization of their capital positions.

The number of insurance companies which reported capital positions that were compliant with the minimum regulatory capital requirement of \$1.5 million effective 30 June 2014 remained twelve (12), the same number reported as at 31 March 2013.

The average solvency margin for the non-life insurers was 61.12% as at 30 June 2013 compared to 55.50% reported as at 31 March 2013. All the non-life insurers, except Altfin Insurance Company and Tristar Insurance Company, reported solvency margins which were compliant with the prudential minimum of 25% stipulated in *section 24(1a) (ii) of the Insurance Act [Chapter 24:07]* (see figure 3 below for the solvency margins for all the non-life insurers) as at 30 June 2013. It should be noted that, in terms of the Insurance Act, non-life insurers shall be treated as having a margin of solvency sufficient for the purposes of carrying on non-life insurance business, if the total value of assets in respect of such business exceeds the amount of liabilities in respect of such business by twenty-five per centum of net premium income in the last preceding year in respect of such business.

Table 3: Reported Capital Levels for Non-life Insurers (\$)

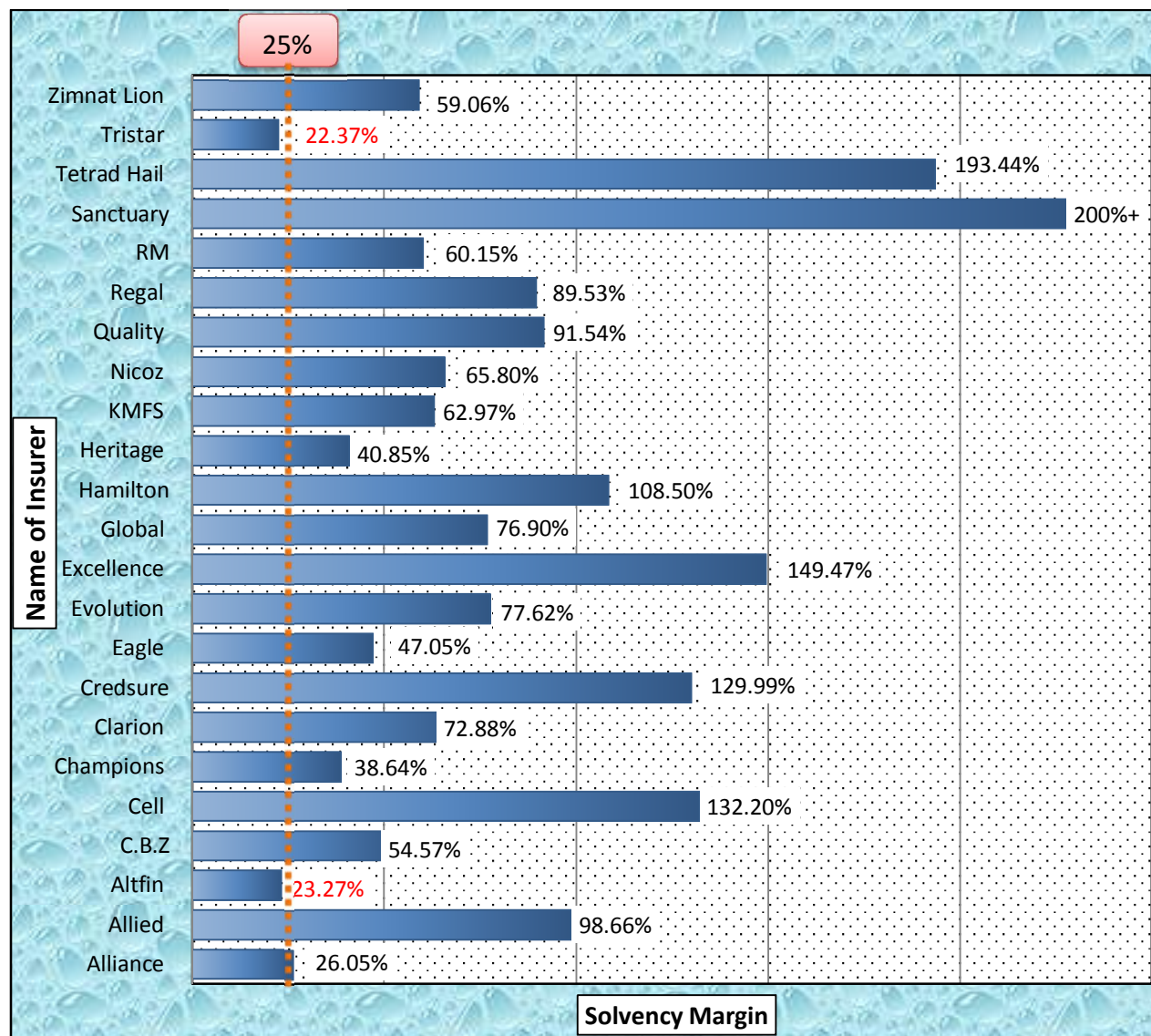
Name of Insurance Company	31-Dec-12*	31-Mar-13	30-Jun-13
1. Alliance Insurance Company	3,435,806	3,614,901	3,695,464
2. Allied Insurance Company	452,185	793,643	732,258
3. Altfin Insurance Company	1,437,855	1,530,000	1,382,000
4. C.B.Z Insurance Company	1,171,680	1,286,972	1,556,208
5. Cell Insurance Company	1,669,291	4,221,862	5,347,767
6. Champions Insurance Company	1,125,695	1,220,293	1,296,090
7. Clarion Insurance Company	1,391,971	1,422,450	1,754,640
8. Credit Insurance Zimbabwe	2,990,977	3,078,481	3,058,236
9. Eagle Insurance Company	2,191,083	1,993,989	2,527,755
10. Evolution Insurance Company	1,115,467	1,293,388	1,385,114
11. Excellence Insurance Company	410,776	573,261	701,758
12. Global Insurance Company	1,015,060	1,049,470	1,056,461
13. Hamilton Insurance Company	736,432	849,113	945,517
14. Heritage Insurance Company	1,486,757	1,736,331	2,071,423
15. KMFS Insurance Company	956,857	1,027,122	840,690
16. Nicoz Diamond Insurance Company	8,952,658	9,364,000	9,313,000
17. Quality Insurance Company	1,087,414	1,176,000	1,464,000
18. Regal Insurance Company	943,842	1,807,246	2,542,927
19. RM Insurance Company	6,800,381	7,426,509	8,907,458
20. Sanctuary Insurance Company	1,392,199	1,238,767	1,371,749
21. Tetrad Hail Insurance Company	3,031,567	3,222,316	3,437,201
22. Tristar Insurance Company	2,123,067	1,465,689	1,036,578
23. Zimnat Lion Insurance Company	3,121,954	3,636,368	3,514,641

*Capital as at 31 December 2012 is based on audited financial statements except for Evolution and Excellence

Key:

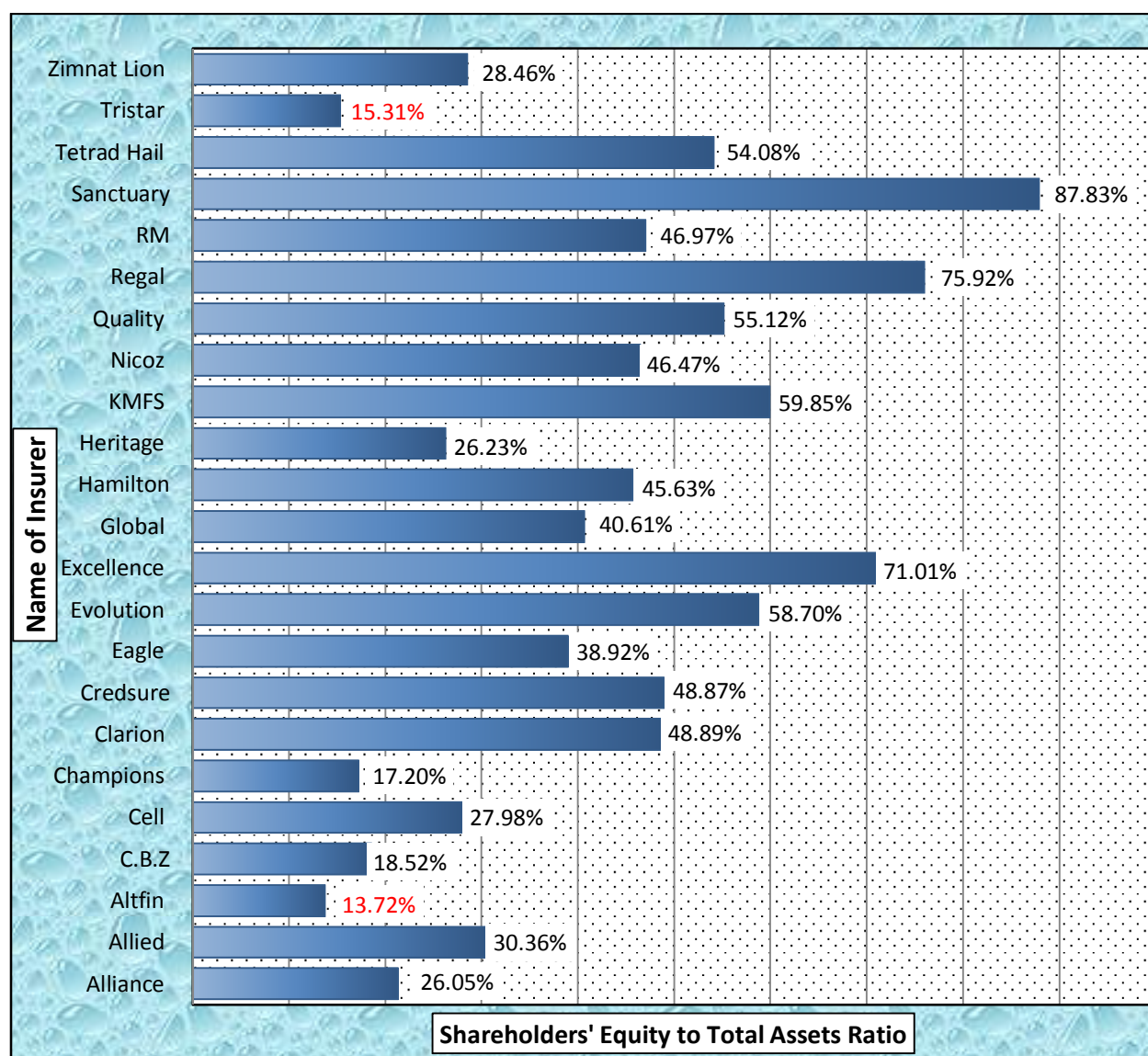
	The insurer was compliant with the minimum capital requirement of \$1.5 million effective 30 June 2014.
	The insurer was compliant with the minimum capital requirement of \$0.75 million effective 30 June 2013, but was yet to comply with \$1.5 million effective 30 June 2014.
	The insurer was not compliant with the minimum capital requirement of \$0.75 million effective 30 June 2013.

Figure 3: Solvency Margin for Non-life Insurers



The industry average equity to asset ratio for the non-life insurers was 35.13% as at 30 June 2013, reflecting an improvement from 31.66% reported as at 31 March 2013. This improvement implies less reliance on debt by the insurance companies. As shown in Figure 4 below Altfin Insurance Company, Tristar Insurance Company and Champions Insurance Company's operations were to a lesser extent backed by shareholders' equity compared to their counterparts.

Figure 4: Non-life Direct Insurers' Leverage Ratios



1.4. Asset Quality

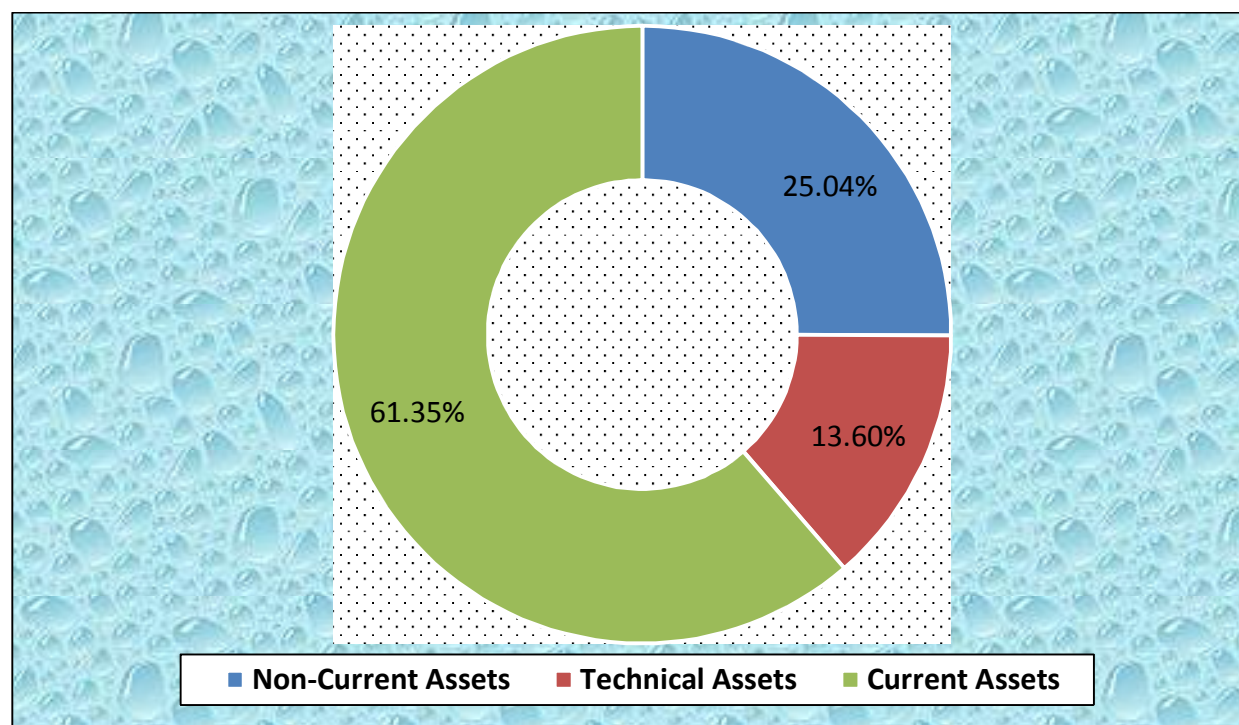
Total assets for direct short term insurers were generally on the upward trend since the inception of the multicurrency regime in 2009 as shown in Figure 5 below. The increase was on the back of increased organic growth as well as fresh capital injections by shareholders. Although there was a general increase in total assets since 2009, there was a marginal decrease of 1.82% in total assets from \$173.79 million as at 31 March 2013 to \$170.64 million as at 30 June 2013. The decrease in total assets was largely attributable to the shrinkage in money market investments from \$28.52 million as at 31 March 2013 to \$25.11 million as at 30 June 2013.

Figure 5: Quarterly Trend in Total Assets since 2009



A significant proportion of the non-life insurers' total assets worth 61.35% was attributable to current assets, a position which was in sync with the short term nature of the non-life insurance business. Nevertheless, a larger proportion of current assets remained attributable to premium debtors which accounted for 42.44% as at 30 June 2013, down from 43.14% as at 31 March 2013. High levels of premium debtors compromised the asset quality of the insurers since they are not readily available to support their day to day operations. Allied Insurance Company, Champions Insurance Company and Altfin Insurance Company reported the highest ratios of premium debtors to total assets of 61%, 57.01% and 46.71% respectively. Of the short term insurers' total assets, \$61.53 million which accounted for 36.06% was investable. Figure 6 below shows the breakdown of assets.

Figure 6: Breakdown of Short-Term Insurers' Total Assets



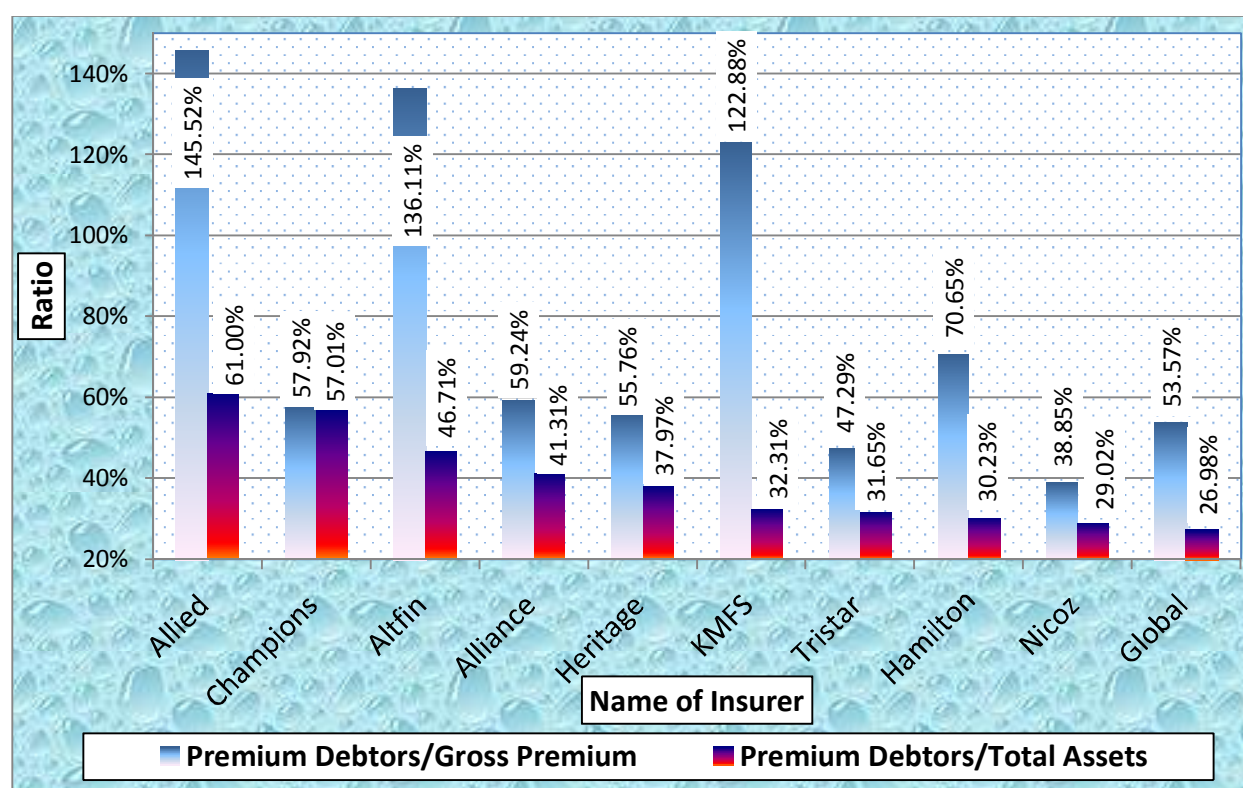
The quality of direct short term insurers' assets continued to be constrained by high levels of non-income generating assets although the ratio of non-profitable assets to total assets decreased marginally from 64.09% as at 31 March 2013 to 63.94% as at 30 June 2013. Insurers are urged to devise strategies to reduce proportions of their total assets attributable to non-profitable assets such as premium debtors in a bid to bolster their asset quality.

The industry average premium debtors to gross premium ratio was 37.71% as at 30 June 2013. Allied Insurance Company, Altfin Insurance Company and KMFS Insurance Company, reported the highest ratios of premium debtors to gross premium written compared to their peers. These three insurers had premium debtors dating back to the period prior to 1 January 2013, (and thus aged more than 180 days). This is evidenced by their ratios of premium debtors to gross premium which were in excess of 100%. High levels of premium debtors compromise the asset quality, liquidity as well as the payment for reinsurance arrangements.

Insurers with high levels of premium debtors relative to their total assets may have significant portions of their capital bases not readily available to support their day to day activities.

The situation is made worse when the insurer's capital base is already below the minimum regulatory requirement. For example Allied Insurance Company reported a capital position of \$732 000 which was below the regulatory minimum of \$750 000 yet 61% of its assets were made up of premium debtors as shown in Figure 7 below. The average premium debtors to total assets ratio for all non-life insurers was decreased marginally from 26.69% as at 31 March 2013 to 26.04% as at 30 June 2013. The premium debtors to total assets ranged from 0 to 61%. (See Appendix 1C for the ratios in respect of all insurers). Insurance companies are urged to come up with policies on the treatment of premium debtors and write off the same where recoverability is doubtful.

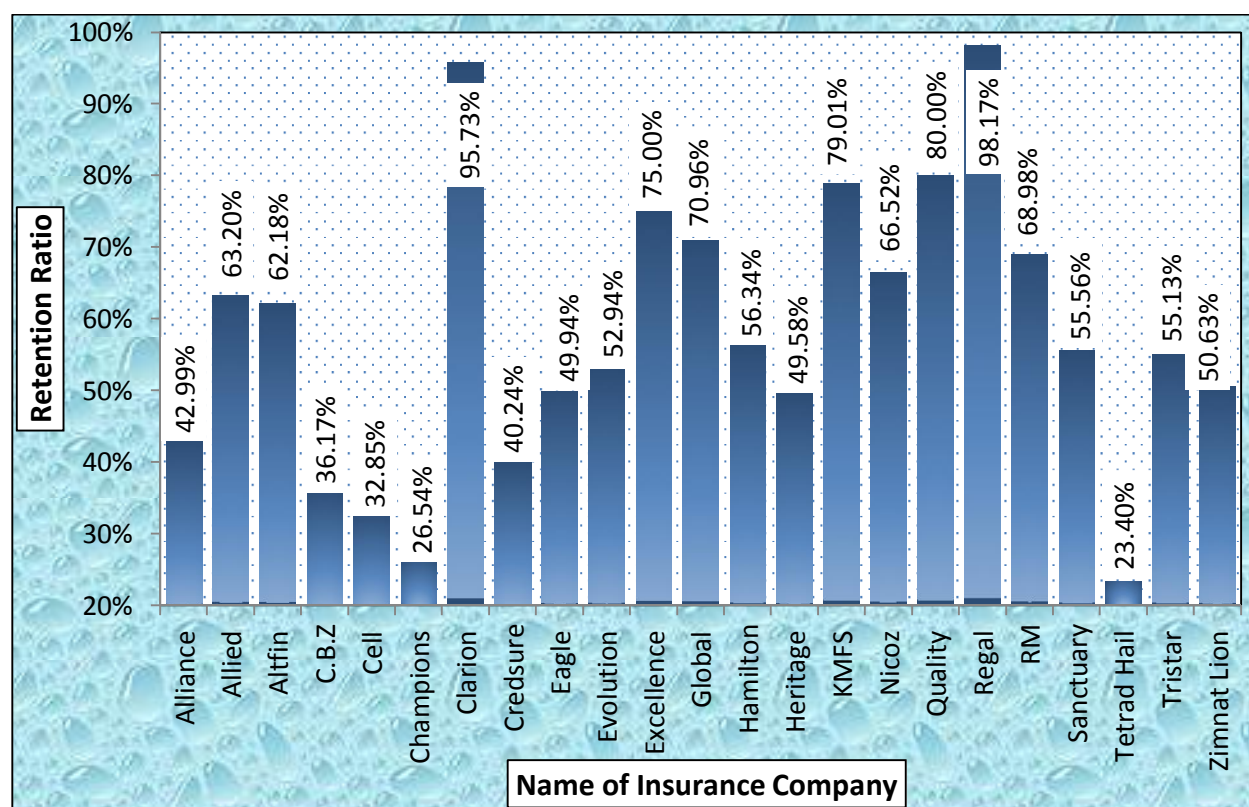
Figure 7: Insurers with High Premium Debtors/Assets Ratios



1.5. Reinsurance

There was a marginal decrease in the risk appetite of the non-life insurers as evidenced by the decrease in risk retention ratio from 53.24% during the half year period ended 30 June 2012 to 51.64% during the period under review. As shown in Figure 8 below the retention ratios for individual insurers ranged from 23.40% to 98.17%.

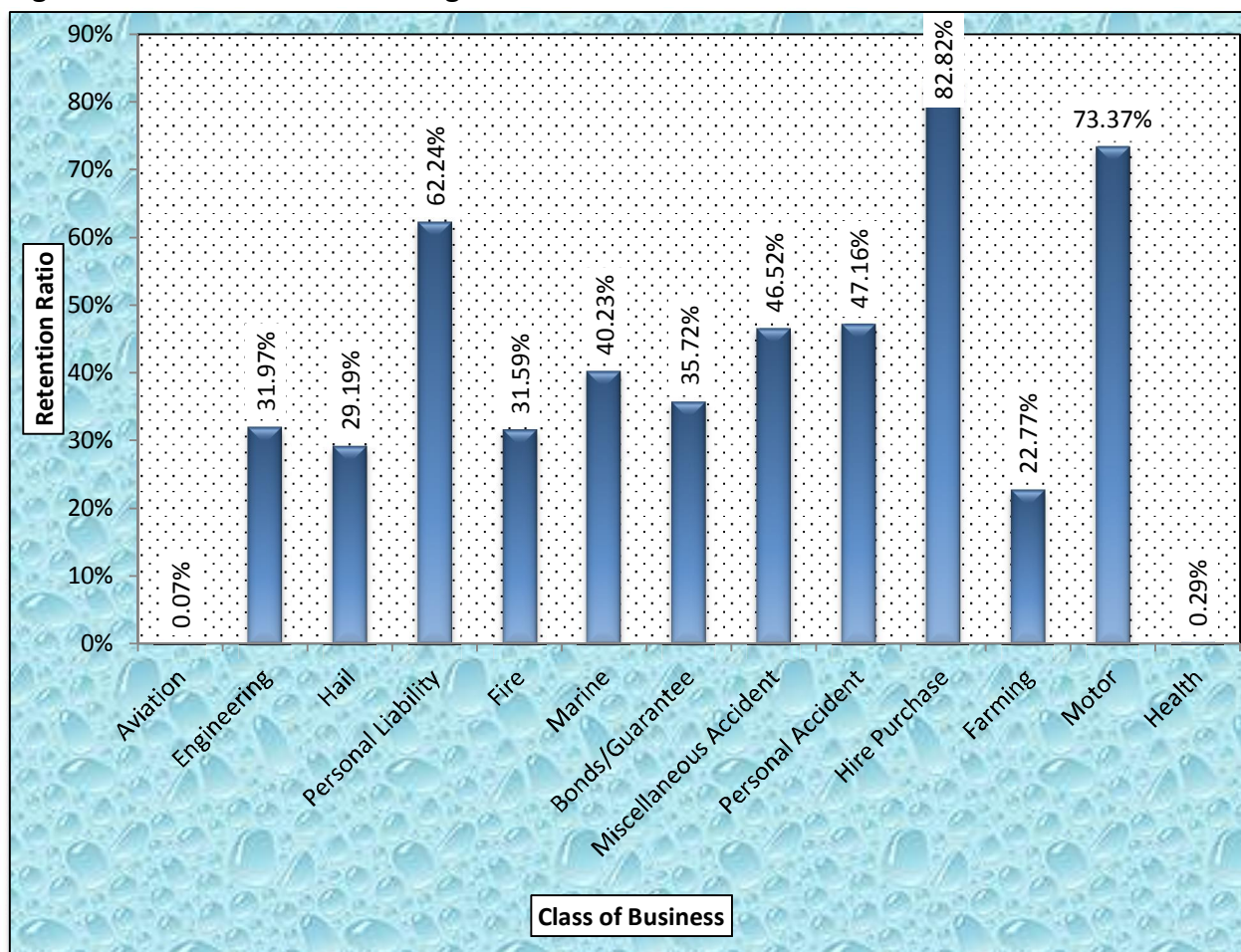
Figure 8: Retention Ratios for Short Term Insurance Companies



The industry average reinsurance creditors to reinsurance premiums deteriorated from 45.20% for the half year ended 30 June 2012 to 48.85% for the year to 30 June 2013. Some insurers such as Regal Insurance Company, Allied Insurance Company, Altfin Insurance Company, Tetrad Hail Insurance Company and Hamilton Insurance Company still owe their reinsurers premiums for business ceded prior to 1 January 2013. This is evidenced by their ratios of reinsurance creditors to reinsurance premiums which were 533.10%, 255.61%, 226.40%, 121.60% and 107.53% respectively, which were in excess of 100%. See Appendix 1C for ratios in respect of all insurers. Non-remittance of reinsurance premiums seriously compromises the reinsurance arrangements that will have been put in place, thus exposing insurers to the risk of failing to settle claims since reinsurers may not be in a position to settle claims in respect of policies that they will not have received premium from.

The highest industry average risk retention ratios were reported in hire purchase and motor insurance as shown in Figure 9 below. The lowest ratios continued to be recorded in health and aviation insurance.

Figure 9: Non-life Insurers' Average Retention Ratios for Different Classes of Business



1.6. Actuarial Liabilities

Whilst in the past some non-life insurers have not been providing any reserves in respect of incurred but not reported claims (IBNR) and unearned premiums (UPR) the period under review witnessed a marked improvement since all insurers provided for these actuarial liabilities.

On average the non-life insurance industry had adequate capital to withstand possible adverse events. This is evidenced by the industry average technical reserves to capital ratio which was 82.68% as at 30 June 2013 and below the prudential benchmark of 100%. (This conclusion assumes that the reserves are calculated correctly). Notwithstanding the adequacy of capital to withstand adverse events at sector level, some insurers such as CBZ Insurance Company, Alliance Insurance Company and Tristar Insurance Company reported technical reserves to capital ratios of 219.42%, 207.56% and 193.77% which were significantly above the prudential benchmark.

In general, the industry also had adequate capital to cater for all the known and unknown claims as shown by the ratio of outstanding claims plus IBNR to capital which was 34.18% as at 30 June 2013. Only Alliance Insurance Company and Heritage Insurance Company had ratios of outstanding claims plus IBNR to capital of 142.04% and 135.65% respectively, which were above 100%.

1.7. Earnings

Total profit after tax reported by non-life insurers during the half year ended 30 June 2013 amounted to \$7.38 million reflecting a 21.41% increase from \$6.08 million reported during the half year ended 30 June 2012. The increase in profit after tax was mainly attributable to increased levels of business written alluded to in section 1.2 above coupled with increases in unrealized gains emanating from the marking to market of the investment portfolios.

Although the volumes of profit were on the upward trend the industry average return on equity (ROE) deteriorated from 14.50% for the half year ended 30 June 2012 to 12.31% for the half year ended 30 June 2013 whilst return on assets (ROA) remained at 4.33%. A total of three non-life insurers namely Tristar Insurance Company, KMFS Insurance Company, and Altfin Insurance Company reported losses during half year period under review, compared to five insurers that reported losses for the half year ended 30 June 2012.

Notwithstanding the increase in overall profitability, underwriting profits decreased from \$6.60 million for the half year ended 30 June 2012 to \$5.36 million for the period under review. The decrease in underwriting profits was mainly attributable to increases in net incurred claims from \$19.38 for the year to 30 June 2012 to \$21.95 million for the year to 30 June 2013. In line with the increase in net incurred claims, the industry average loss ratio deteriorated from 39.60% to 42.35%. The profitability of the non-life insurers' core business deteriorated as reflected by a decrease in the underwriting margin from 16.30% for the six months ended 30 June 2012 to 10.35% for the period under review. The deterioration is also reflected in the increase in the industry average combined ratio from 83.70% to 89.65%. Non-life insurers' core business of underwriting remained the major source of business with investment income accounting for only 3.77% of net premium written (NPW).

1.8. Liquidity

Although the current ratio for the non-life insurers and the working capital position improved from the positions reported as at 31 March 2013, the overall liquidity position deteriorated as a result of high levels of illiquid current assets such as premium debtors as explained below.

Total working capital for non-life insurers amounted to \$23.77 million as at 30 June 2013 compared to \$24.81 million reported as at 31 March 2013. The average current ratio for the industry improved marginally from 122.76% as at 31 March 2013 to 123.09% as at 30 June 2013. However, the liquidity position of the non-life insurers after taking account of illiquid assets such as premium and other debtors was a cause for concern with an acid test ratio of 38.80% as at 30 June 2013. This implies that as at 30 June 2013, the non-life insurance industry had liquid current assets to cover on average only thirty nine cents out of every dollar worth of liabilities. The acid test ratios for individual insurers ranged from -0.60% to 944.80%. Altfin Insurance Company, KMFS Insurance Company, and Champions Insurance Company reported the lowest acid test ratios of -0.60%, 5.34% and 6.56% respectively.

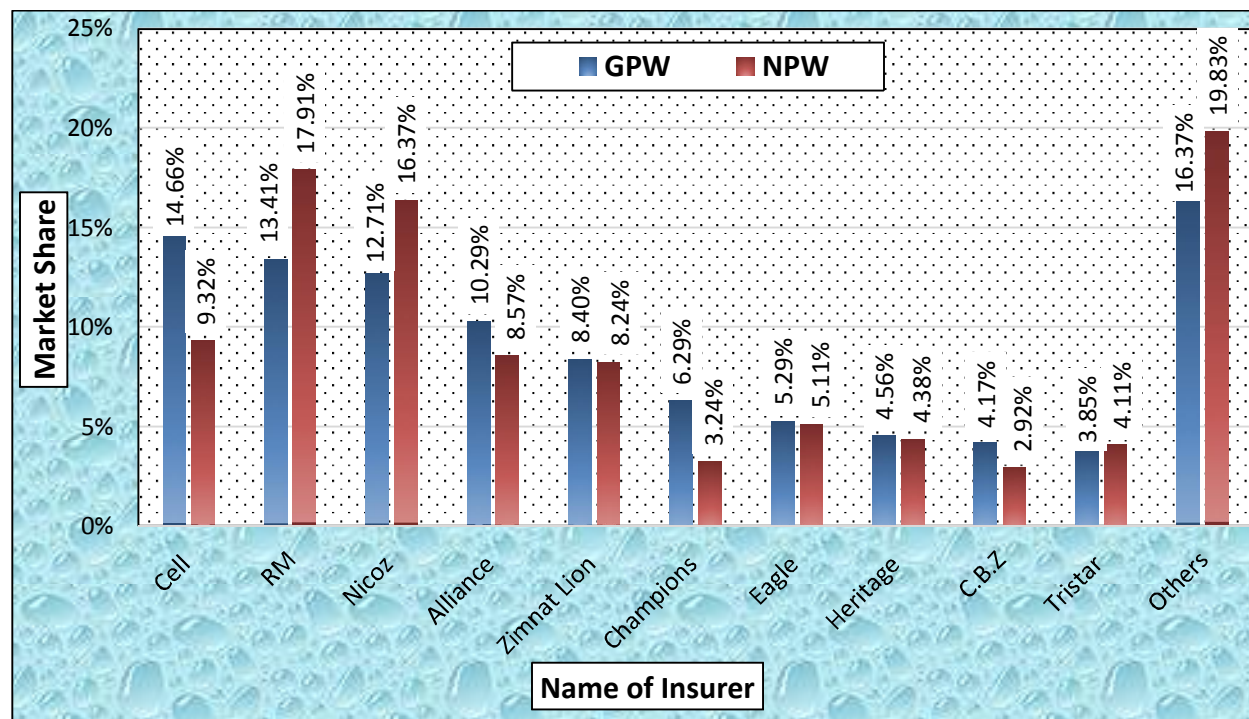
Total liquid assets for non-life insurers decreased from \$44.63 million as at 31 March 2013 to \$39.95 million as at 30 June 2013. Of concern to the Commission is the fact that these liquid assets were concentrated in three insurers namely RM Insurance Company, Alliance Insurance Company and Nicoz Diamond Insurance Company which accounted for 48.78%.

1.9. Market Share for Non-life Insurers

In terms of both gross premium written and net premium written, the non-life direct insurance sector was considered unconcentrated with Herfindahl Indices of 0.09 for the period under review. As such there were no insurer(s) with outright dominance in the market, a situation which may be beneficial to consumers of insurance services in terms of healthy competition.

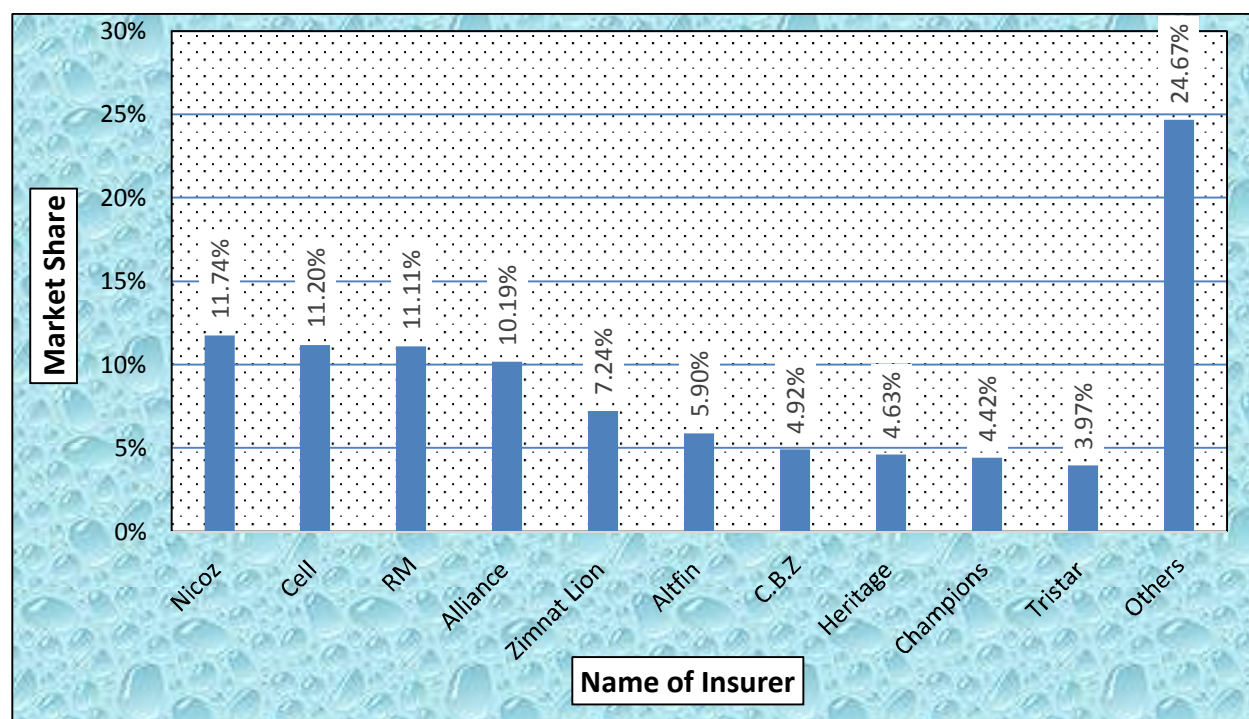
As shown below, Cell Insurance Company, RM Insurance Company and Nicoz Diamond Insurance Company remained the top three insurers in terms of both gross premium written and net premium written with a combined market share of 40.77% and 43.60% respectively. Champions Insurance Company, Clarion Insurance Company and Hamilton were fastest growing companies in terms of gross premium written with growth rates of 234.11%, 82.93% and 72.26% respectively. As a result of the growth, Champions Insurance Company moved into the top ten.

Figure 10: Market Share for Insurers in Terms of GPW and NPW



In terms of total assets, Nicos Diamond Insurance Company, Cell Insurance Company and RM Insurance Company were also the market leaders as shown Figure 11 below, with market shares of 11.74%, 11.20% and 11.11% respectively as at 30 June 2013.

Figure 11: Market Share for Insurers in Terms of Total Assets



SECTION B
2. REINSURANCE COMPANIES

2.1. Number of Non-life Reinsurers

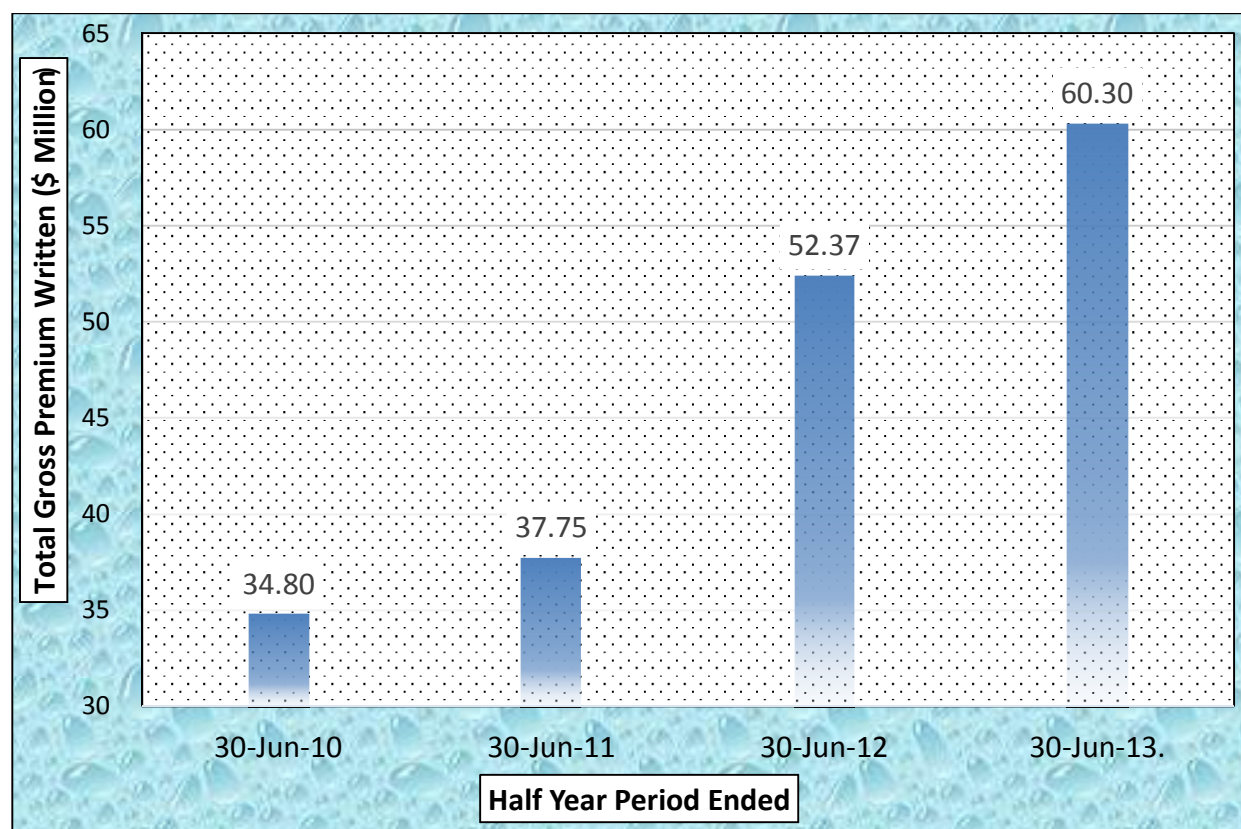
There were 10 registered reinsurers as at 30 June 2013 reflecting no change from the number reported as at 31 March 2013. Out of these registered insurers nine (9) were operational as at 30 June 2013.

2.2. Trend and Distribution of Business Written

Total gross premium written by reinsurers increased from \$52.37 million for the half year ended 30 June 2012 to \$60.30 million for the half year ended 30 June 2013, indicating growth in the volume of business written. The increase in total gross premium was mainly driven by growth in volume of business generated from fire and motor insurance which amounted to \$6.73 million and \$1.88 million respectively.

As shown in Figure 12 below, the volume of business generated by the non-life reinsurers in the first half year since the inception of the multicurrency regime has been on an upward trend, with growth rates of 8.48%, 38.74% and 15.14% in the half year ended 30 June 2011, 2012 and 2013 respectively.

Figure 12: Total Gross Premium Written for the Six Months Ended 30 June since 2010



The increase in the volume of business also resulted in the growth in premiums ceded to retrocessionaires from \$13.51 million for the year to 30 June 2012, to \$18.48 million for the period under review. Other indicators of business trends are shown in Table 4 below.

Table 4: Business Written (\$)

	30-June-12	30-June-13	Percentage Change
Gross Premium Written	52,374,143	60,301,341	15.14%
Retrocession Premium	13,510,639	18,484,685	36.82%
Net Premium Written	38,863,504	41,816,656	7.60%
Net Earned Premium	32,342,433	36,785,336	13.74%

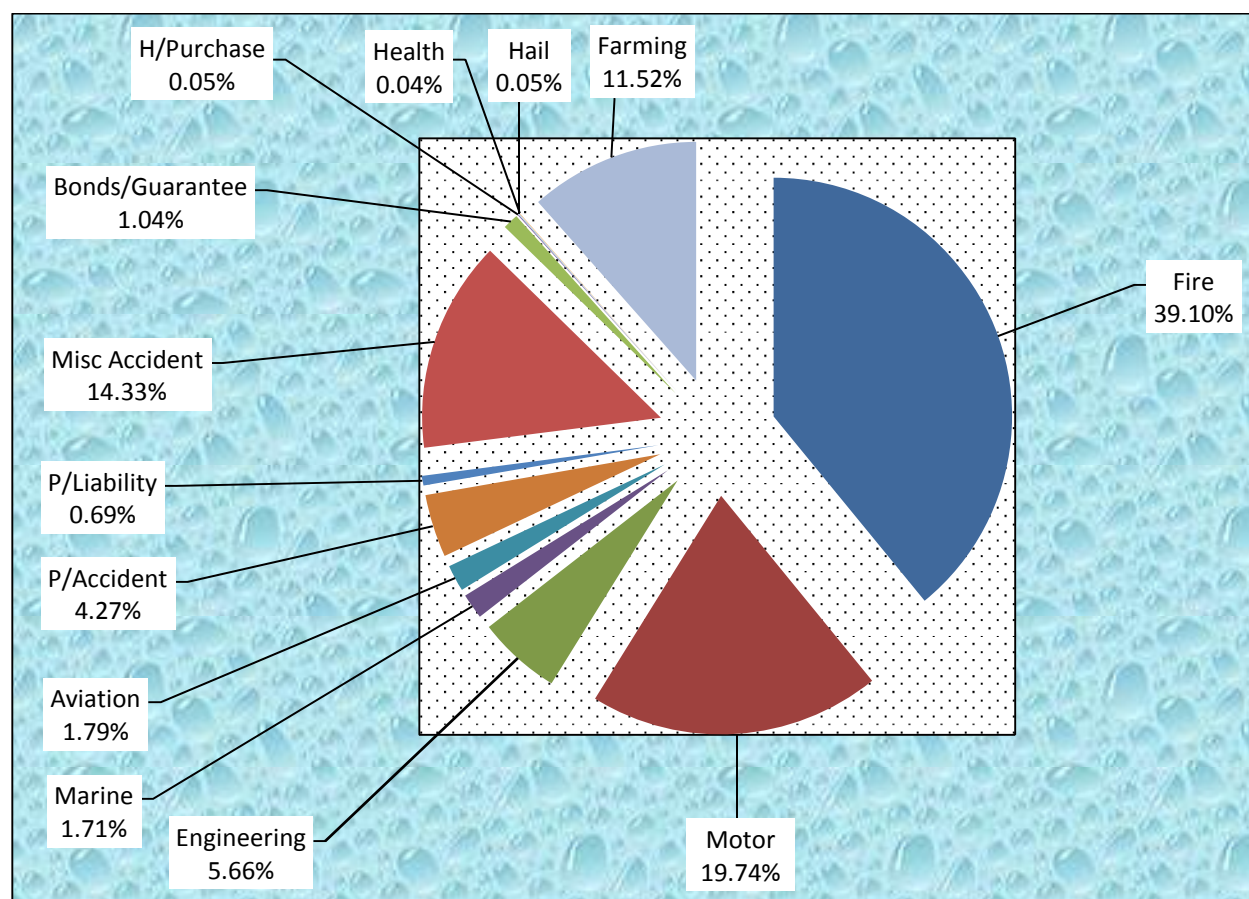
The fastest growing classes of insurance in terms of volumes of business generated by reinsurers were bonds/guarantees as well as fire insurance which recorded growth rates of 141.81% and 39.96% respectively. Hail and health insurance recorded the largest business shrinkages of 97.72% and 94.18% respectively.

Table 5: Gross Premium Written by Class of Business (\$)

Class	30 June 2012	30 June 2013	Percentage Change
Aviation	1,880,514	1,081,139	-42.51%
Bonds/Guarantee	259,021	626,345	141.81%
Engineering	3,059,225	3,413,739	11.59%
Farming	6,378,723	6,948,858	8.94%
Fire	16,844,916	23,576,440	39.96%
Hail	1,453,710	33,100	-97.72%
Health	362,520	21,110	-94.18%
Hire Purchase	46,453	32,990	-28.98%
Marine	825,246	1,029,119	24.70%
Miscellaneous Accident	8,404,616	8,642,150	2.83%
Motor	10,025,400	11,906,383	18.76%
Personal Accident	2,371,153	2,576,872	8.68%
Personal Liability	462,646	413,096	-10.71%
Total	52,374,143	60,301,341	15.14%

The distribution of business generated during the period under review was skewed towards fire and motor which accounted for 39.10% and 19.74% respectively. Business generated from all classes of business are as shown in Figure 13 below.

Figure 13: Distribution of Reinsurers GPW by Business Class



2.3. Capitalization

As at 30 June 2013, all reinsurers reported capital levels which were above the 50% of the minimum regulatory requirement of \$1.5 million that was required to be complied with by the same date. The industry average capital maintenance ratio of 474.81% was significantly above the prudential benchmark of 100% implying that on average reinsurers had capital bases which were way above the regulatory minimum (see Appendix 2C for capital maintenance ratios in respect of all reinsurers). Table 6 below shows the trend in capital position for reinsurers since 31 December 2012.

Table 6: Reported Capital Levels for Reinsurers (\$)

Company	31 Dec 2012*	31 Mar 2013	30 Jun 2013
Baobab Reinsurance Company	27,273,895	27,940,533	27,969,938
Colonnade Reinsurance Company	514,471	1,182,012	1,507,085
FBC Reinsurance Company	6,987,219	7,476,360	8,201,857
FMRE Property & Casualty	5,108,325	5,255,917	5,701,815
Grand Reinsurance Company	9,744,262	9,850,732	9,708,989
New Reinsurance Company	367,415	507,000	1,018,000
Tropical Reinsurance Company	1,778,706	2,030,220	2,347,220
ZB Reinsurance Company	3,773,224	6,289,580	6,565,150
PTA Reinsurance Company (Zep Re)**	983,000	1,728,362	1,078,660

*Capital as at 31 December 2012 is based on audited financial statements

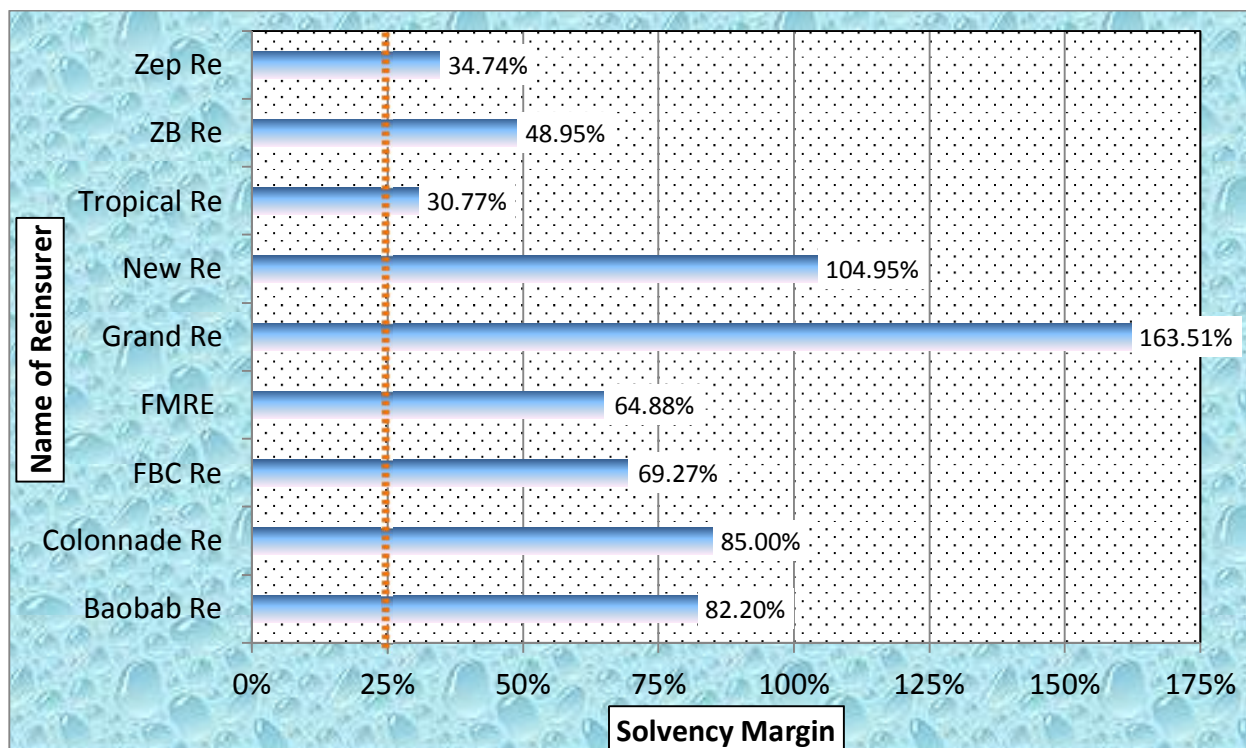
**The capital position only relates to ZEP Re's Zimbabwe country office. The audited capital position for Zep Re as at 31 December 2012 was \$78.77 million.

Key:

	The reinsurer was compliant with the minimum capital requirement of \$1.5 million effective 30 June 2014.
	The reinsurer was compliant with the minimum capital requirement of \$0.75 million effective 30 June 2013, but was yet to comply with \$1.5 million effective 30 June 2014.
	The reinsurer was not compliant with the minimum capital requirement of \$0.75 million effective 30 June 2013.

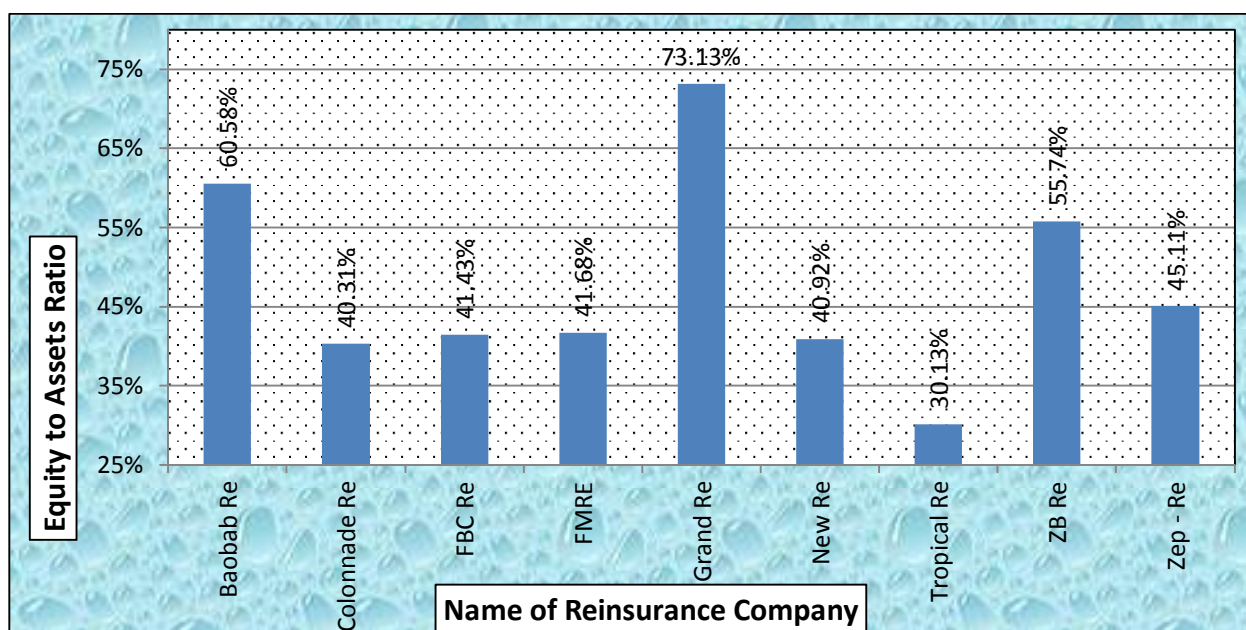
The average solvency margin for non-life reinsurers was 73.27% as at 30 June 2013, which was significantly below 90.09% reported as at 31 March 2013. As shown in Figure 14, all operational reinsurers were compliant with the minimum solvency margin of 25% stipulated in *section 24(1a) (ii) of the Insurance Act [Chapter 24:07]*. The solvency ratios for individual reinsurers as at 30 June 2013 ranged 30.77% to 163.51%.

Figure 14: Solvency Margin for Reinsurers



The average equity to assets ratio increased marginally from 52.29% as at 31 March 2013 to 52.92% as at 30 June 2013. This means that shareholders had claims of approximately fifty three cents for every dollar worth of the reinsurers assets. Figure 15 below shows the equity to assets ratios for all the reinsurers.

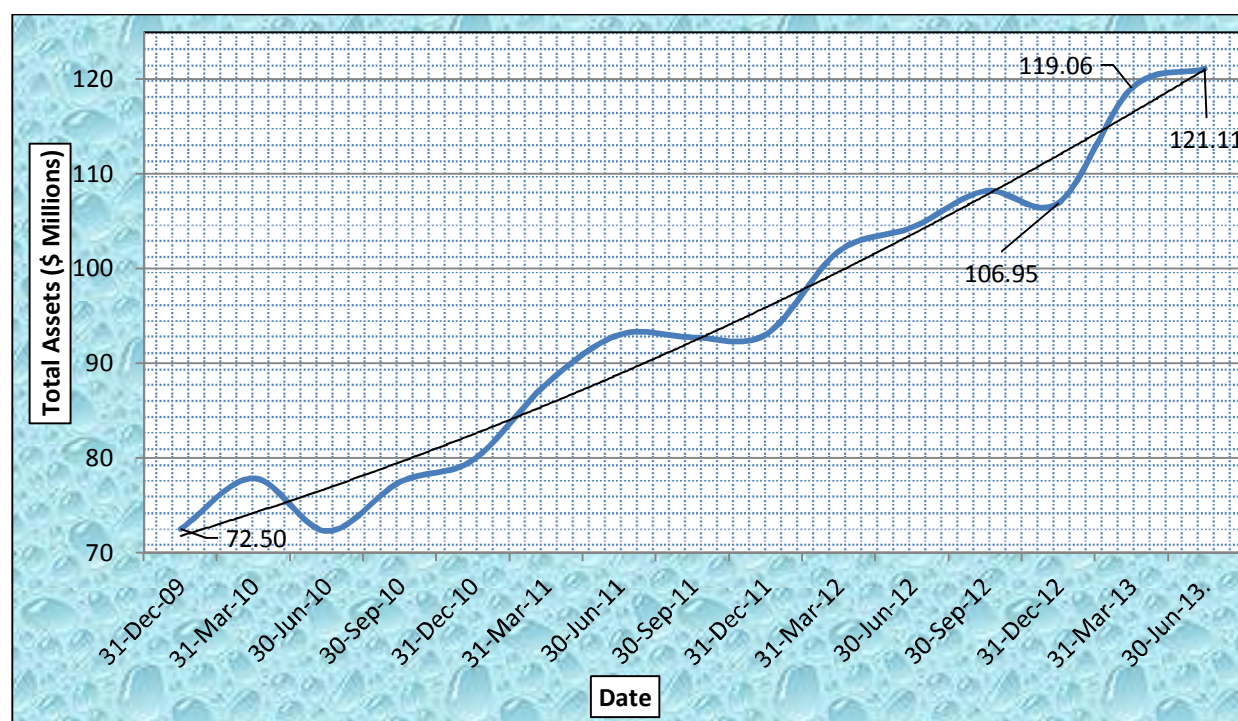
Figure 15: Equity to Assets Ratio



2.4. Asset Quality

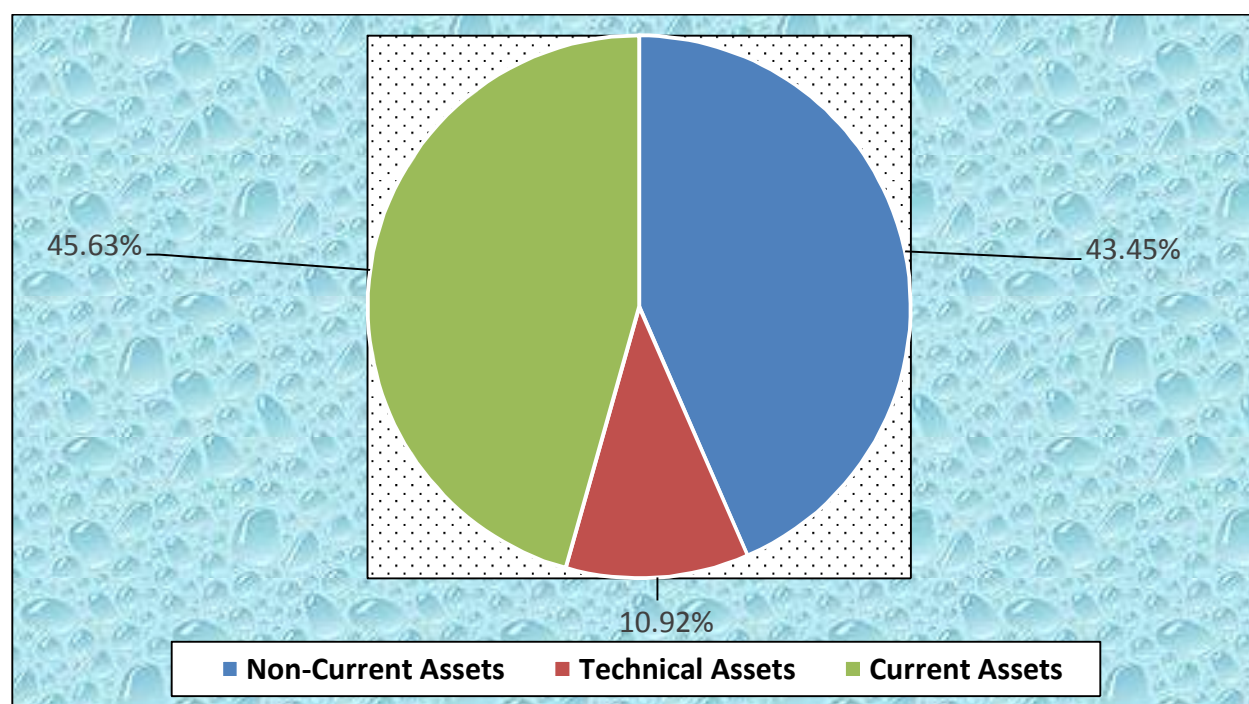
Total assets continued on the upward trend as shown in Figure 16 below on the back of increased volumes of business as well as fresh capital injections by shareholders. During the quarter under review total assets for reinsurers increased from \$119.06 million as at 31 March 2013 to \$121.11 as at 30 June 2013. The increase in total assets was mainly driven by growth in investments, in particular money market investments which increased by \$1.35 million from \$3.81 million as at 31 March 2013 to \$5.16 million as at 30 June 2013.

Figure 16: Quarterly Trend in Total Assets for Non-life Reinsurers since 2009



There were no significant changes in the distribution of the asset base for non-life reinsurers, with current assets attributing for the largest proportion of 45.63% as at 30 June 2013 down from 45.85% as at 31 March 2013. The current assets were mainly made up of premium debtors which accounted for 42.06%. Investable assets accounted for 61.89% of total assets and amounted to \$74.95 million as at June 2013. Figure 17 below shows the breakdown of total assets.

Figure 17: Breakdown of Non-life Reinsurers' Total Assets

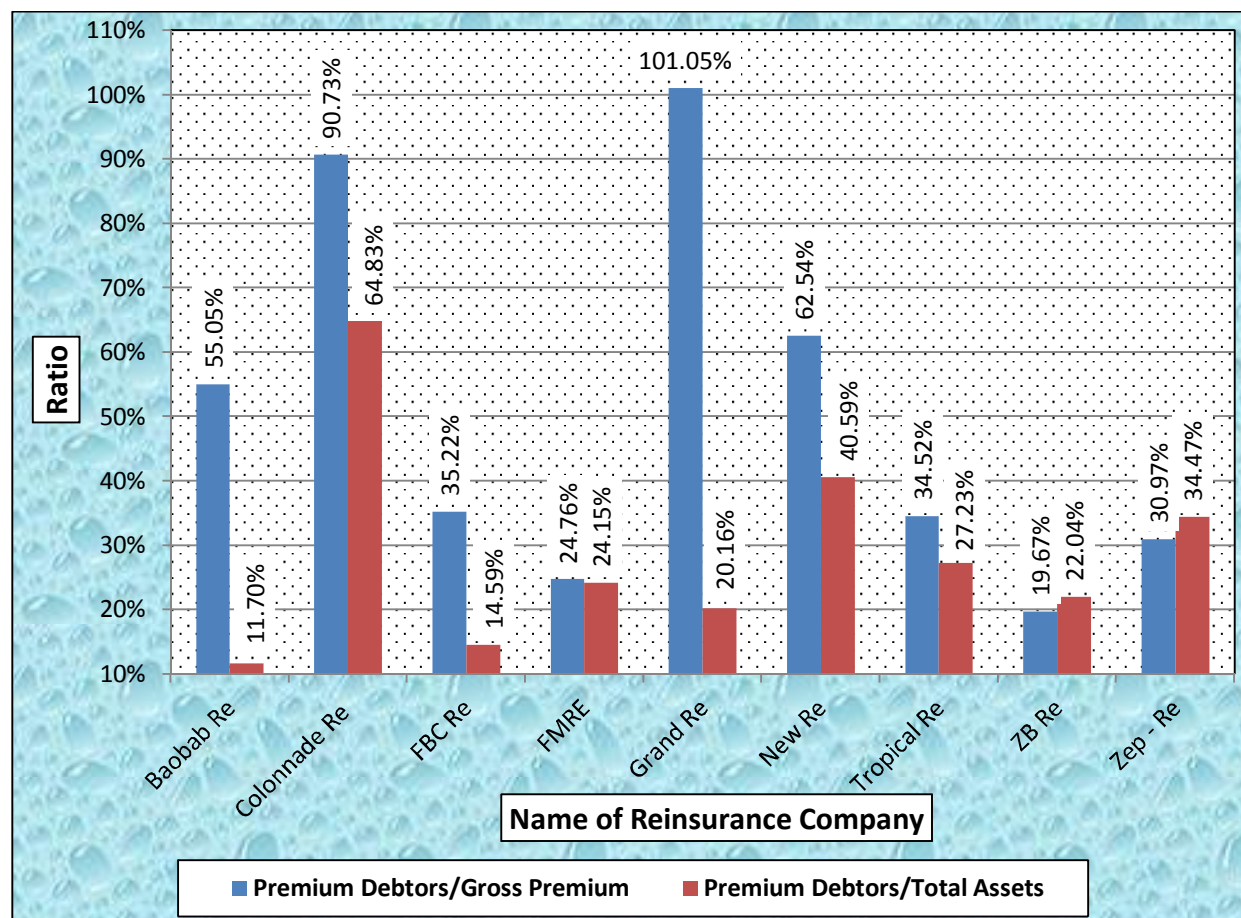


The industry average investments to assets ratio was 61.89% as at 30 June 2013, reflecting an improvement from 42.92% reported as at 31 March 2013. The improvement in investments to assets ratio is beneficial to the reinsurers since it boosts the reinsurers' ability to supplement underwriting income with investment income. The indicators of profitability of assets for each reinsurer are shown in Appendix 2C.

The industry average premium debtors to assets ratio improved marginally from 20% as at 31 March 2013 to 19.19 % as at 30 June 2013. Whilst the ratio was lower than that reported by direct insurers of 26.04%, we urge the non-life insurance industry at large to improve on collection of premiums to ensure that the same premiums are readily available to support operations on a day to day basis. Colonnade Reinsurance Company and New Reinsurance Company remained with financial positions which were more reliant on premium debtors compared to their peers with premium debtors to total assets ratios of 64.83% and 40.59% respectively as at 30 June 2013. See Figure 18 for all reinsurers' premium debtors to assets ratios. The average premium debtors to gross premium written was 38.55% as at 30 June 2013. Grand Reinsurance Company, Colonnade Reinsurance Company and New Reinsurance Company reported the highest premium debtors to gross premium written ratios of 101.05%, 90.73% and 62.54% respectively compared to other reinsurers as shown in Figure 18 below.

The ratio for Grand Reinsurance Company which was in excess of 100% implies that the reinsurer had premium debtors in respect of business written prior to 1 January 2013 and aged more than 6 months as at 30 June 2013.

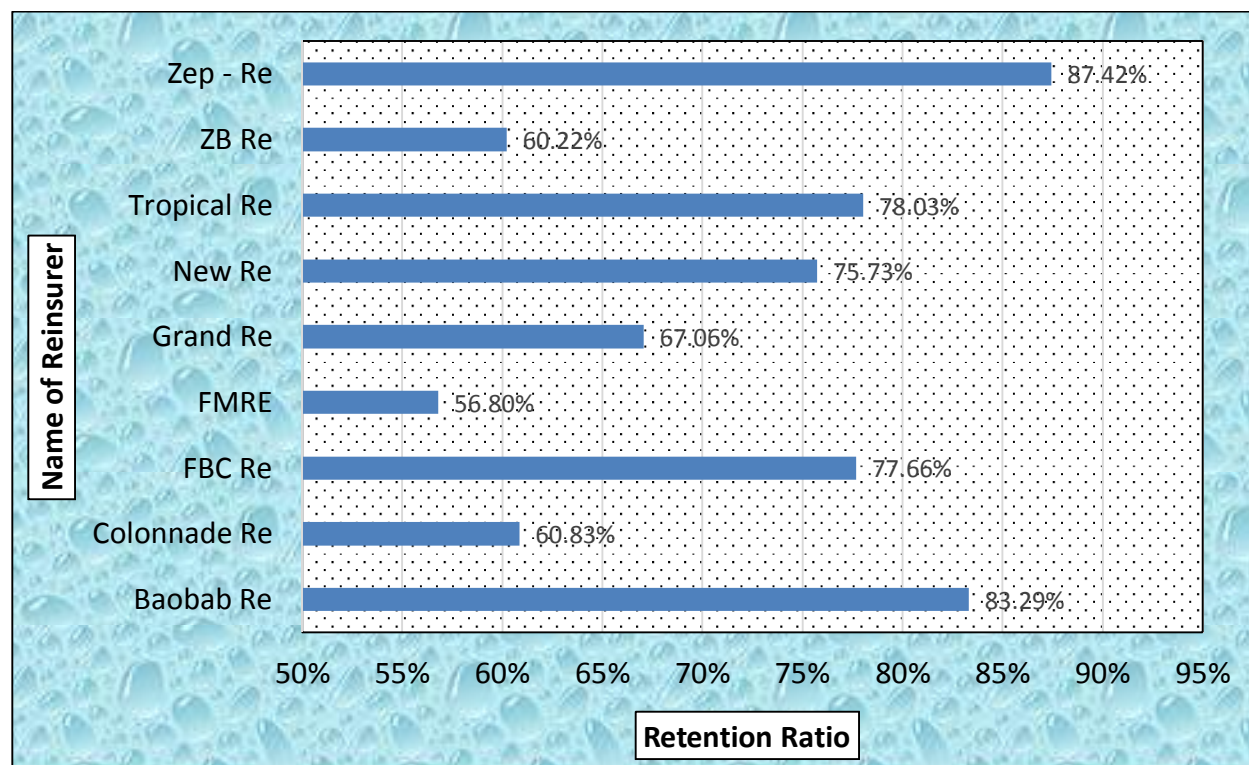
Figure 18: Premium Debtors to GPW and Premium Debtors to Assets Ratios



2.5. Retrocession

There was no significant change in the risk appetite for reinsurers with an industry average premium retention ratio of 69.35% for the year to 30 June 2013 compared to 70.11% reported for the comparative period in 2012. The lowest retention ratio of 56.80% was reported by FMRE Property and Casualty whilst PTA Reinsurance Company Country Office (Zep RE) reported the highest retention ratio of 87.42%. Retention ratios for all the other reinsurers are as shown in Figure 19 below.

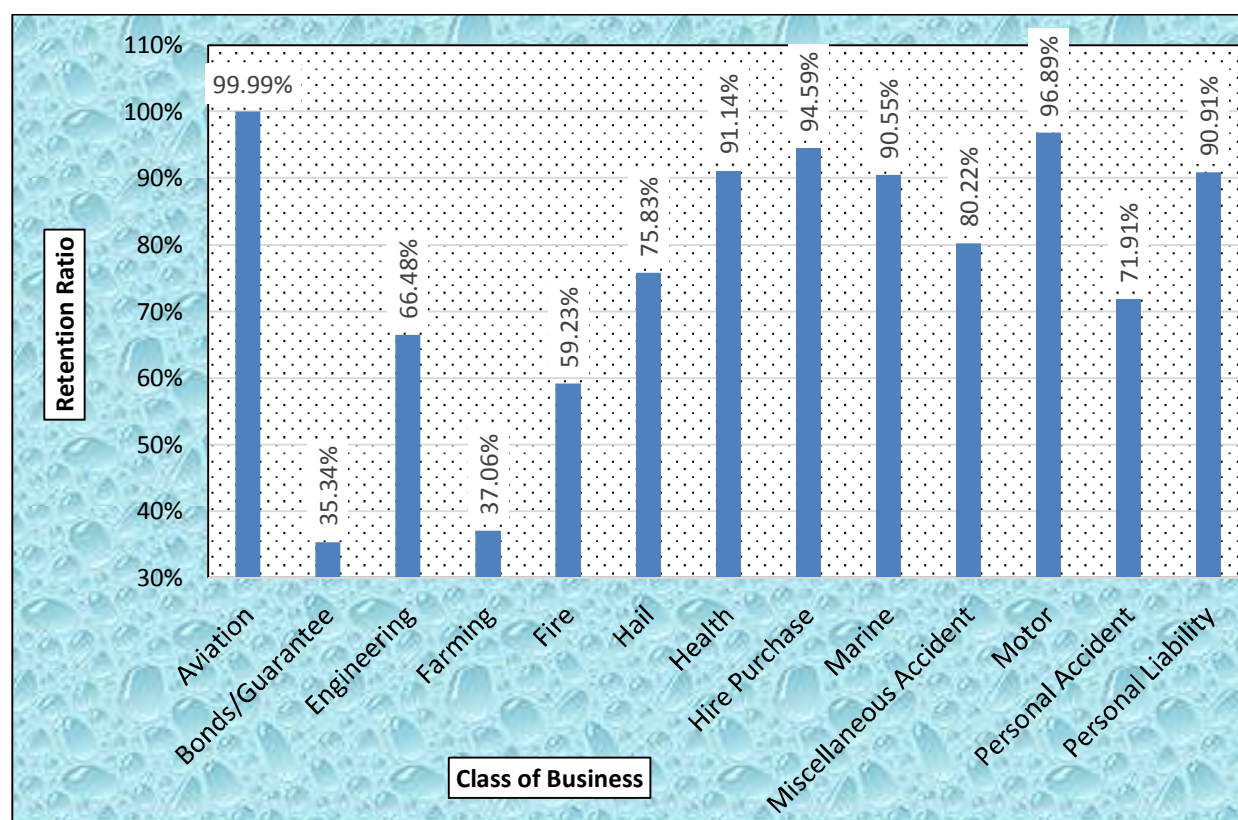
Figure 19: Retention Ratios for Reinsurers



As at 30 June 2013, premium remittances by reinsurers to retrocessionaires were not up to date, a situation which may compromise the effectiveness of the said reinsurers' retrocession arrangements. The industry average retrocession creditors to retrocession premium was 76.12%. Baobab Reinsurance Company, Colonnade Reinsurance Company and New Reinsurance Company were yet to settle some premiums ceded to retrocessionaires dating back to periods prior to 1 January 2013. This is evidenced by their retrocession creditors to reinsurance premiums of 430.73%, 144.82% and 103.32% which were above 100%.

Out of all the business classes, bonds/guarantees and farming insurance recorded the lowest premium retention ratio of 35.34% and 37.06% respectively half year ended 30 June 2013. Figure 20 below shows the retention ratio in different classes of business for the period under review.

Figure 20: Reinsurers' Retention Ratios by Class of Insurance Business



2.6. Actuarial Liabilities

Short term reinsurers reported total unearned premium reserves (UPR) and incurred but not reported claims (IBNR) of \$17.13 million and \$13.94 million, as at 30 June 2013 compared to \$18.03 million and \$13.88 million respectively reported as at 31 March 2013.

The ability of the reinsurers to withstand possible adverse events improved marginally as reflected by the improvement in the industry average technical reserves to capital ratio from 51.53% as at 31 March 2013 to 48.47% as at 30 June 2013. However, Tropical Reinsurance Company and FBC Reinsurance Company reported the highest technical reserves to capital ratios of 118.21% and 105.05% respectively which may result in challenges in these reinsurers withstanding possible adverse events. (Zep Re country office also reported a high technical reserves to capital ratios of 121.70% but the country office is supported by the PTA Reinsurance).

Total outstanding claims and IBNR accounted for only 29.72% of the reinsurers' total capital base indicating the adequacy of capital to meet all the known and the unknown claims.

2.7. Earnings

Total profit after tax for non-life reinsurers amounted to \$5.62 million for the half year ended 30 June 2013 compared to negative \$1.72 million reported for the comparative period in 2012. Apart from the increase in volume of business already alluded to above, the increase in total profit after tax was also mainly buoyed by the decrease in operating expenses as well as incurred claims which amounted to \$2.10 million and \$1.72 million respectively. In line with the increase in profit after tax, the industry average return on assets (ROA) and return on equity (ROE) improved from -1.64% and -3.10 for the year to 30 June 2012 to 4.64% and 8.77% for the period under review. Of all the operational reinsurers, only Grand Reinsurance Company reported losses during the year to 30 June 2013.

The profitability of the reinsurers' core business improved significantly as evidenced by the increase in underwriting profits from negative \$2.21 million for the half year to 30 June 2012 to \$4.47 million during the period under review. Given that the overall profitability of the reinsurers was driven by their core business, the reinsurers therefore stand a better chance of sustaining the profits unlike in a situation whereby profits are driven by non-core activities. The improvement in underwriting profits is also further evidenced by the decrease in the industry average combined ratio from 109.61 to 87.85%. The combined ratio of less than 100% implies that the reinsurers' total expenses in respect of underwriting were below income generated from the same. The reinsurers' industry average underwriting margin for the period under review was 12.15%. The loss ratio for the period under review was 33.61% which was significantly below the international benchmark of 60%.

Investment income accounted for a mere 4.25% of net premium written, indicating that the reinsurers were mainly reliant on their core business in terms of income generation, a situation which supports the sustainability of income.

2.8. Liquidity

Liquidity remained one of the major challenges for non-life reinsurers with total working capital increasing marginally from \$16.54 million as at 31 March 2013 to 16.88 million as at 30 June 2013. Baobab Reinsurance Company is the only reinsurer that reported a negative working capital position.

There was no significant change in the industry average current ratio which was 132.71% as at 30 June 2013 compared to 132.22% reported as at 31 March 2013. Although the reinsurers reported an average current ratio which was above 100%, the overall liquidity was seriously compromised by non-liquid assets with the acid test ratio of 51.34%. Such an acid test ratio means that reinsurers had liquid assets enough to cover only about fifty one cents of every dollar worth of current liabilities.

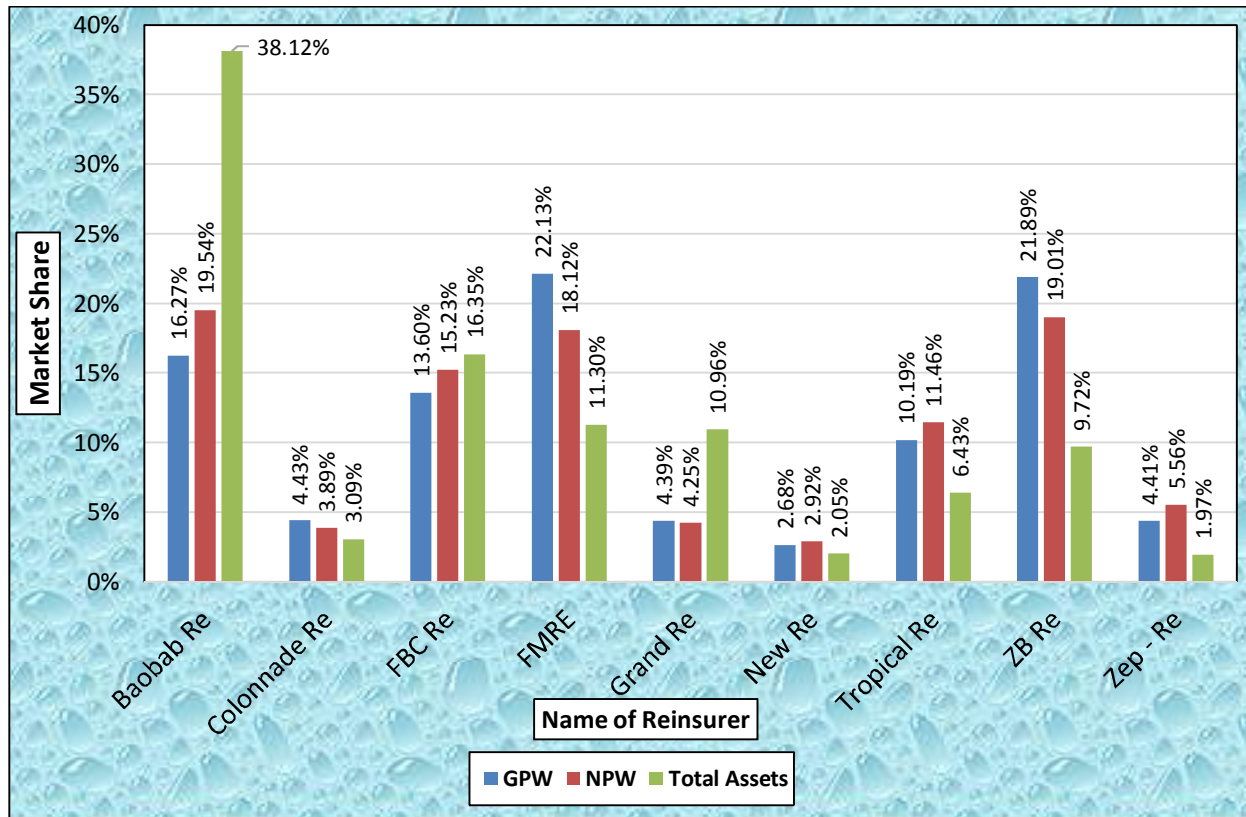
Total liquid assets amounted to \$25.60 million as at 30 June 2013 up from \$24.70 million reported as at 31 March 2013. However, the liquid assets were concentrated in three reinsurers namely FBC Reinsurance Company, ZB reinsurance Company and FMRE Property and Casualty which accounted for a total of 76.35% of the liquid assets. The liquidity challenges highlighted above may result in reinsurers failing to settle claims timely. Baobab Reinsurance Company, Grand Reinsurance Company, and Colonnade Reinsurance Company reported the lowest acid test ratios of 3.53%, 13.64% and 21.95% respectively.

2.9. Market Share for Reinsurers

The Herfindahl Indices for the market for non-life reinsurers in terms of gross premium written and net premium written during the quarter under review were 0.16 and 0.15 respectively. In light of these indices the market for reinsurers was considered moderately concentrated in terms of business generated. As shown in Figure 21 below, the top three reinsurers in terms of both gross premium written and net premium written were FMRE Property and Casualty, ZB Reinsurance Company and Baobab Reinsurance Company.

Baobab Reinsurance Company, FBC Reinsurance Company and FMRE Property and Casualty remained the top three reinsurers in terms of total assets.

Figure 21: Market Share for Reinsurers in Terms of GPW, NPW and Total Assets



SECTION C

3. INSURANCE BROKERS

3.1 Number of Insurance Brokers

The number of registered insurance brokers as at 30 June 2013 was twenty nine (29). As at the date of compiling this report, Aon Risk Services and Hostcare Insurance Brokers had been registered in terms of *section 35* of the *Insurance Act [Chapter 24:07]*. Hostcare Insurance Brokers had not started operating, as at 30 June 2013, hence they did not submit their quarterly return to be incorporated in this report.

3.2 Business Written

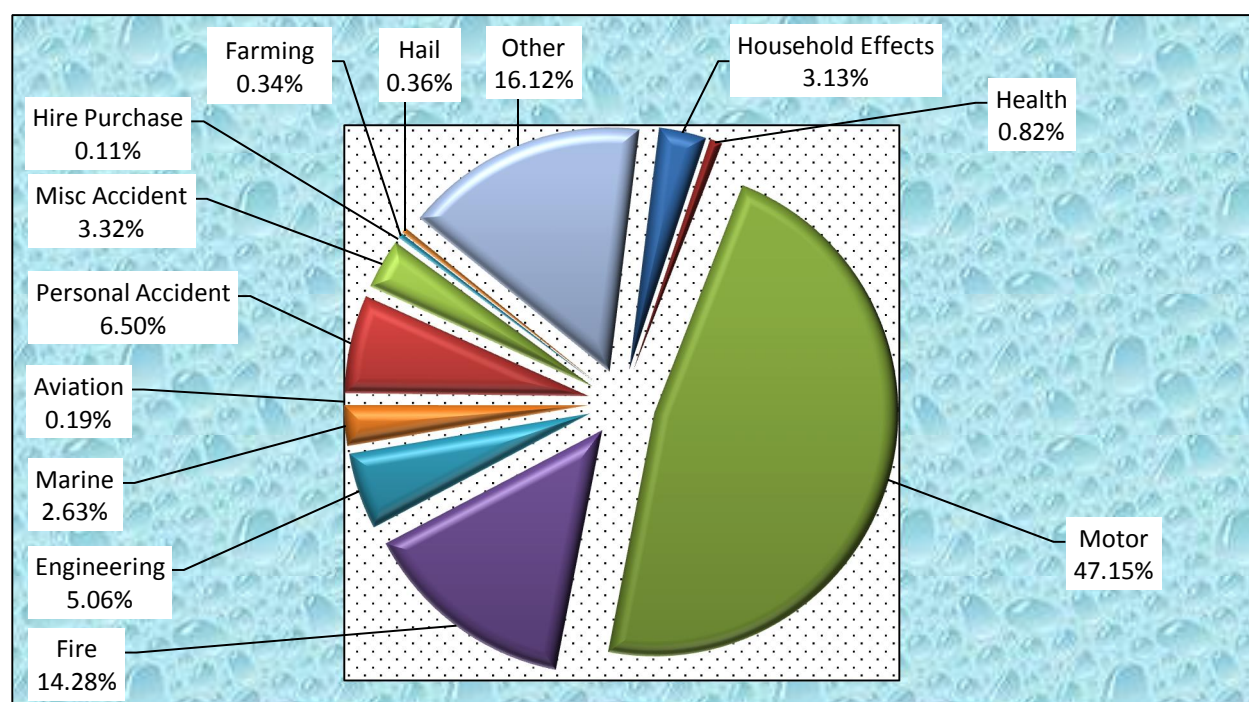
Insurance brokers wrote total premium amounting to \$50.04 million during the six months ended 30 June 2013. The premium written by the insurance brokers accounted for 42.47% of gross premium written by non-life insurers which implies that the said non-life insurers derive the bulk of their business through their respective agents and direct access to clients. The net brokerage Commission generated from the business written amounted to \$8.7 million and accounted for 17.39% of premium written.

Table 7: Indicators of Business Written for Insurance Brokers (\$)

Indicator	30 June 2013
Premium Written	50,037,357
Premium due to Insurers	40,965,468
Net Brokerage Commission	8,700,547
Operating Expenses	8,414,342
Profit Before Tax	1,140,342
Taxation	319,701
Profit After Tax	820,561

As was the case with direct non-life insurers, motor and fire insurance were the dominant classes of business as shown in Figure 22 below accounting for a total of 31.43% of total premium written. The proportions of business attributable to all classes of insurance business are as shown in Figure 22 below.

Figure 22: Distribution of Insurance Brokers' Gross Premium Written by Business Class



3.3 Earnings for Insurance Brokers

Total profit after tax for the insurance brokers amounted to \$0.82 million for the half year ended 30 June 2013. Out of all the operational insurance brokers, six (6) insurance brokers reported losses during the period under review. The insurance brokers' average return on equity (ROE) and return on assets (ROA) for the half year ended 30 June 2013 were 9.49% and 3.47% respectively.

3.4 Capitalization

All the insurance brokers reported capital positions which were above \$100,000 as at 30 June 2013, except Hunt Adams & Associates (Private) Limited, Matden Reinsurance Brokers (Private) Limited, Rainbow Insurance Brokers (Private) Limited. (NB: Matden was licensed to conduct reinsurance broking but is currently conducting insurance broking). The capital positions for the insurance brokers ranged from negative \$17,877 to \$1,448,615 with a median capital position for the insurance brokers was \$200,541. In instances where capital positions for insurance brokers have changed significantly, the Commission will engage the respective brokers. The capital position for the brokers is shown in table 8 below.

Table 8: Reported Capital Levels for Insurance Brokers (\$)

Name Insurance Broker	31-Dec-12*	31-Mar-13	30-Jun-13
1. Alexander Forbes Risk Services Zimbabwe	425,997	338,946	333,758
2. Ambassador Insurance Brokers	145,839	117,110	117,110
3. Amour Khan Insurance Brokers (Private) Limited	14,968	135,596	136,399
4. Aon Risk Services**	2,493,162	2,452,415	1,448,615
5. Auto & General Insurance Brokers	433,900	436,800	445,900
6. Broksure Insurance Brokers (Private) Limited	51,627	108,034	117,709
7. Capitol Insurance Brokers (Private) Limited	375,736	459,962	523,677
8. Care Insurance Brokers (Private) Limited	133,350	146,233	131,547
9. Eaton & Youngs (Private) Limited	313,831	395,719	460,122
10. Eureka Insurance Brokers (Private) Limited	236,063	253,396	237,722
11. Glenrand MIB (Zimbabwe) (Private) Limited	655,914	530,661	364,962
12. Goldstick Insurance Brokers	66,551	94,694	107,582
13. HRIB (Private) Limited	106,415	282,755	346,884
14. Hunt Adams & Associates (Private) Limited	(107,013)	69,941	(17,877)
15. Insuraserive (Private) Limited	160,963	85,669	340,639
16. L. A. Guard Insurance Brokers (Private) Limited	95,158	104,196	101,307
17. Marsh Insurance Brokers Zimbabwe	580,570	776,994	859,008
18. Matden Reinsurance Brokers (Private) Limited	11,337	8,713	7,762
19. Momentum Insurance Brokers (Private) Limited	363,232	310,544	490,260
20. Navistar Insurance Brokers (Private) Limited	93,016	121,041	105,852
21. Paul Mkondo Insurance Brokers	133,567	126,484	161,819
22. Perpro Insurance Brokers (Private) Limited	98,812	133,345	144,946
23. Progressive Insurance Brokers (Private) Limited	624,873	348,753	653,518
24. Rainbow Insurance Brokers	6,842	390,560	8,678
25. SATIB Insurance Brokers	1159,944	181,616	163,359
26. TIB Insurance Brokers	57,817	107,663	116,656
27. Victory Insurance Brokers (Private) Limited	328,580	419,443	438,646
28. Zimbabwe Insurance Brokers Limited	298,601	300,496	300,956

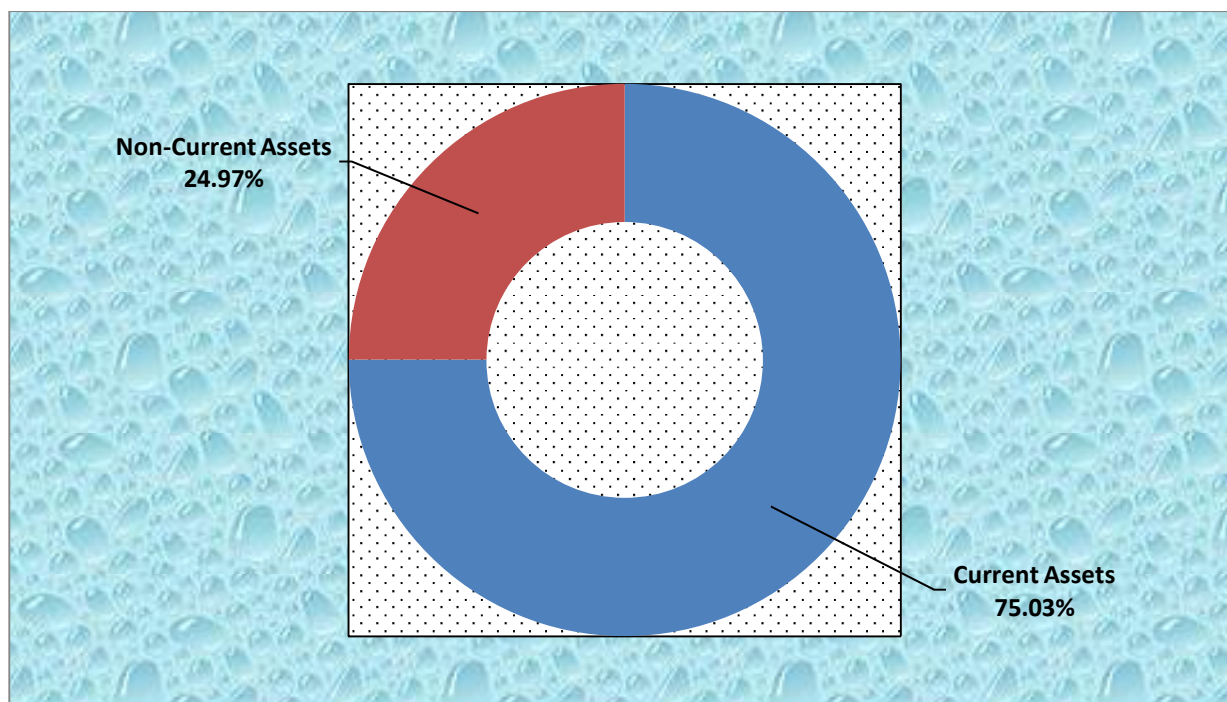
*Capital as at 31 December 2012 is based on audited financial statements

**The capital base as at 31 December 2012 and 31 March 2013 was for Aon Zimbabwe before its subsidiaries started reporting separately.

3.5 Asset Quality

Total assets for insurance brokers as at 30 June 2013 amounted to \$23.67 million. The total assets remained skewed towards current assets which accounted for 75.03% as shown in Figure 23 below. The current assets were mainly made up of commission receivable and cash & cash equivalents which amounted to \$8.18 million and \$4.56 million and contributed 46.08% and 25.68% of respectively.

Figure 23: Breakdown of Insurance Brokers' Total Assets as at 30 June 2013



3.6 Market Share for Insurance Brokers

The market for insurance brokers was considered unconcentrated with Herfindahl Indices of 0.08 in terms of brokerage income and 0.07 in terms of both premium written and total assets. The market leaders in terms of brokerage income, premium written and total assets were Aon Risk Services, Marsh Insurance Brokers Zimbabwe and HRIB (Private) Limited with market shares of 34.50%, 31.79% and 35.01% respectively. Figures 24 and 25 below show the market shares for insurance brokers for the half year ended 30 June 2013.

Figure 24: Market Share for Insurance Brokers in Terms of Income and Premium Written

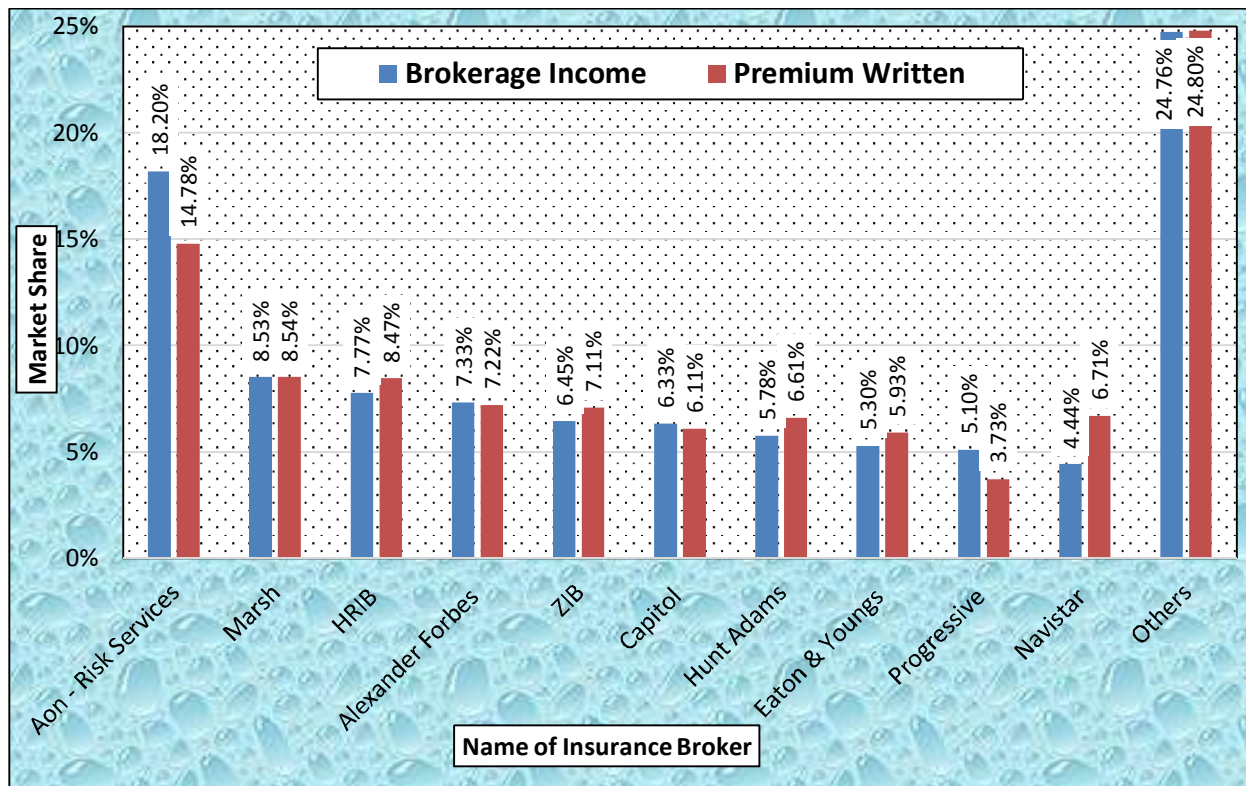
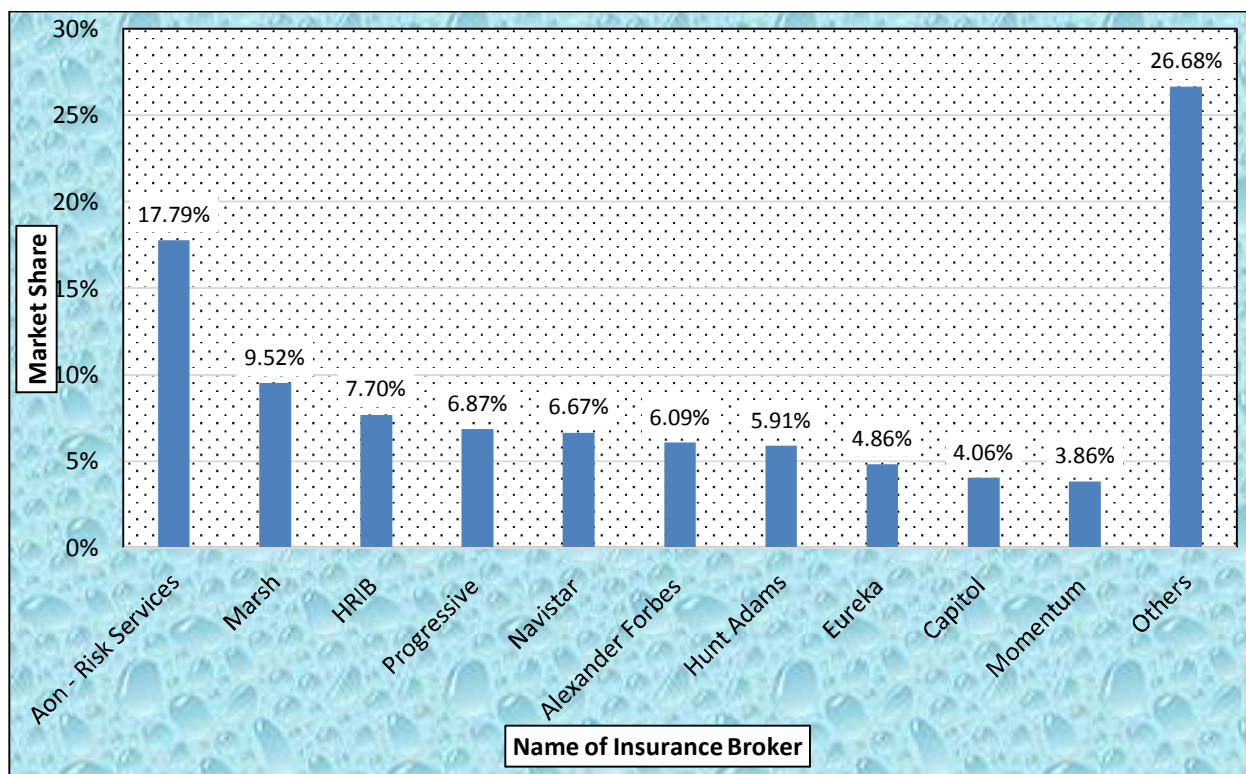


Figure 25: Market Share for Insurance Brokers in Terms of Total Assets



SECTION D
4. REINSURANCE BROKERS

4.1 Number of Reinsurance Brokers

There were three (3) registered reinsurance brokers as at 30 June 2013. As at the time of compiling this report, Aon Zimbabwe had regularized its shareholding structure, a situation which resulted in the registration of its subsidiary, Aon Benfield.

4.2 Business Written

Reinsurance brokers reported total premium of \$29.21 million for the six months ended 30 June 2013. Total premium generated by the reinsurance brokers accounted for 48.44% of the gross premium return by non-life reinsurers. On the other hand, insurance brokers accounted for 42.47% of gross premium generated by non-life insurers. From the foregoing, non-life reinsurers were considered to be more reliant on brokers compared to non-life insurers. More so given that there were only three (3) reinsurance brokers compared to twenty eight (28) insurance brokers.

The net brokerage Commission generated from the business written amounted to \$1.3 million and accounted for 4.47% of premium written.

Table 9: Indicators of Business Written for Reinsurance Brokers (\$)

Indicator	30 June 2013
Premium Written	29,208,614
Premium due to Reinsurers	27,909,710
Net Brokerage Commission	1,305,951
Operating Expenses	665,066
Profit Before Tax	672,824
Taxation	176,285
Profit After Tax	496,539

4.3 Capitalization

All the reinsurance brokers reported capital positions which were above \$100,000 as at 30 June 2013. The capital positions for the reinsurers ranged from \$0.13 million to \$1.75 million with a median of \$0.27 million.

Table 10: Reported Capital Levels for Reinsurance Brokers (\$)

Name of Reinsurance Broker	31-Dec-12*	31-Mar-13	30-Jun-13
1. Aon Benfield**	2,493,162	2,452,415	1,751,197
2. Pan African Reinsurance Brokers (Private) Limited	155,847	181,767	271,257
3. Reinsurance Brokers International (RBI)	125,461	133,614	127,076

**Capital as at 31 December 2012 is based on audited financial statements*

***The capital base as at 31 December 2012 and 31 March 2013 was for Aon Zimbabwe before its subsidiaries started reporting separately.*

4.4 Earnings for Reinsurance Brokers

Reinsurance brokers reported total profit after tax of \$0.50 million for the half year ended 30 June 2013. Reinsurance Brokers International (RBI) is the only reinsurance broker that reported a loss during the period under review. The reinsurance brokers' average return on equity (ROE) and return on assets (ROA) for the half year ended 30 June 2013 were 23.10% and 3.22% respectively.

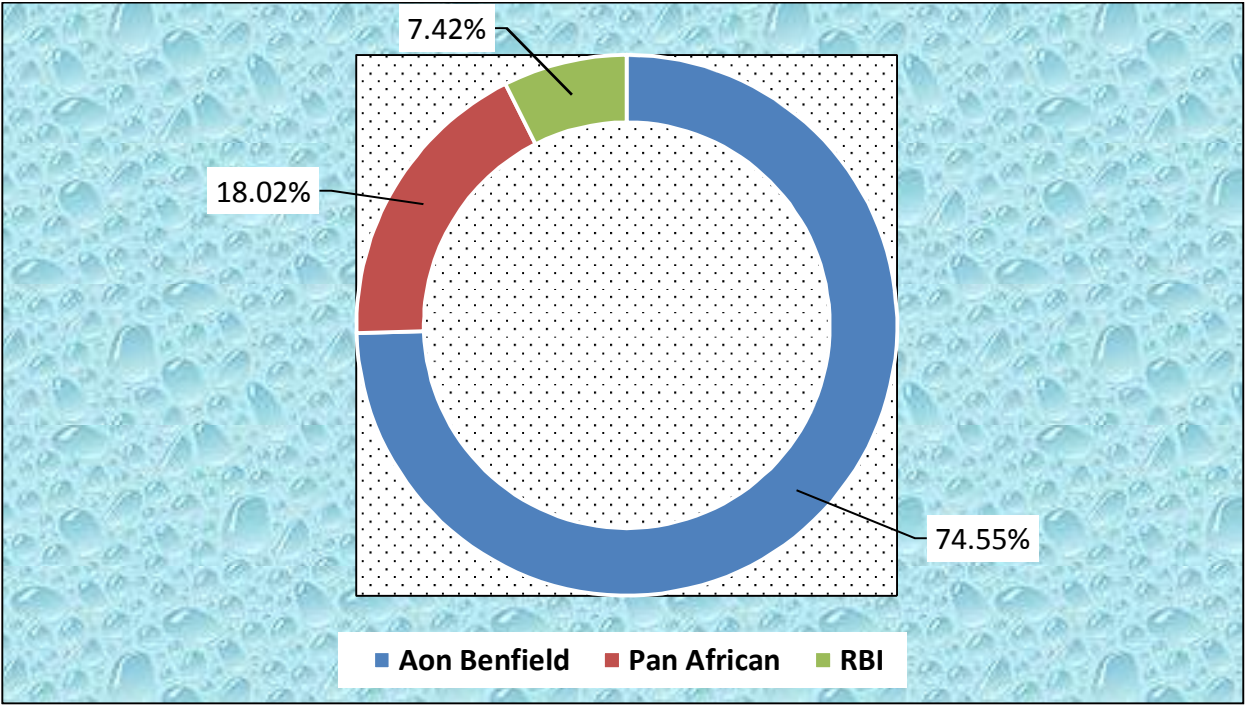
4.5 Asset Quality

Total assets for reinsurance brokers amounted to \$15.42 million as at 30 June 2013. The statement of financial position for reinsurance brokers was mainly skewed towards commission receivable from reinsurers which amounted to \$9.19 million as at 30 June 2013 and accounted for 59.60% of total assets. This shows that the reinsurance brokers' position is supported by their core business, a situation which enhances sustainability of the same.

4.6 Market Share for Reinsurance Brokers

As shown in Figure 26 below, Aon Benfield dominated the market in terms of brokerage income with a market share of 74.55%. Aon Benfield also dominated the market in terms of total premium generated as well as total assets with market shares of 69.84% and 73.07% respectively.

Figure 26: Market Share for Reinsurance Brokers in Terms of Brokerage Income



SECTION E

5. APPENDICES

Please note that the figures for Zep-Re are only for the institution's Zimbabwean Country Office and not for the company as a whole.

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	Appendix 1B: Statements of Financial Position for Non-life Insurers US\$'000																							
	Alliance	Allied	Altfin	C.B.Z	Cell	Champions	Clarion	Credsure	Eagle	Evolution	Excellence	Global	Hamilton	Heritage	KMFS	Nicoz	Quality	Regal	RM	Sanctuary	Tetrad Hail	Tristar	Zimnat Lion	Total
ASSETS																								
Non-Current Assets																								
Fixed Assets	933	412	385	102	486	1,421	187	2,174	2,908	804	240	786	493	2,329	124	1,866	294	2,276	1,305	70	1,400	262	1,067	22,323
Investments	1,102	98	1,306	628	312	50	11	486	173	221	10	46	424	1,039	551	3,967	1,630	1	2,995	1	1,250	1,533	3,738	21,574
	2,035	510	1,691	730	798	1,471	197	2,660	3,082	1,025	249	832	917	3,368	675	5,833	1,924	2,277	4,300	71	2,650	1,795	4,806	43,897
Technical Assets																								
Reinsurers' Share of O/S Claims	728	-	2,239	500	5,528	803	101	365	486	66	14	224	252	-	17	1,144	81	2	639	-	-	637	1,235	15,063
Deferred Acquisition Cost (DAC)	694	-	195	2,512	238	(170)	141	37	147	98	15	277	-	360	13	1,076	204	29	949	-	(86)	111	1,306	8,146
	1,423	-	2,434	3,012	5,767	633	242	402	633	164	29	501	252	360	30	2,220	285	31	1,588	-	(86)	749	2,541	23,209
Current Assets																								
Premium Receivables	7,184	1,471	4,704	2,211	3,266	4,295	845	1,635	812	588	136	702	626	2,998	454	5,816	251	23	1,577	-	517	2,143	2,176	44,432
Money Market Investments	4,680	286	-	606	-	73	1,007	688	1,481	-	310	420	-	359	-	147	-	-	7,225	1,380	3,172	1,306	807	23,948
Cash & cash equivalents	249	128	(47)	393	5,147	319	109	199	368	321	48	6	75	76	12	4,744	85	240	2,445	13	40	72	963	16,005
Inventory and Other Debtors	1,819	16	1,289	1,450	4,138	743	1,188	674	119	261	215	141	202	736	233	1,281	111	779	1,829	98	62	706	1,058	19,147
	13,931	1,901	5,946	4,660	12,551	5,430	3,150	3,197	2,780	1,171	710	1,269	903	4,168	699	11,988	447	1,041	13,076	1,491	3,791	4,227	5,004	103,532
TOTAL ASSETS	17,389	2,412	10,071	8,401	19,116	7,534	3,589	6,259	6,495	2,360	988	2,601	2,072	7,896	1,405	20,041	2,656	3,349	18,964	1,562	6,356	6,770	12,351	170,637
LIABILITIES																								
Deferred Tax Liabilities	-	-	244	65	-	(56)	67	-	67	14	33	14	-	35	-	234	(112)	28	-	37	360	128	198	1,356
Long Term loan	-	13	-	-	-	-	-	-	-	-	-	-	-	180	-	213	-	-	-	-	-	-	950	1,356
Current Tax provisions	125	55	-	52	-	110	-	-	100	46	36	-	31	79	3	-	46	174	66	2	565	100	(80)	1,509
Gross Outstanding Claims	1,779	119	3,260	898	6,079	989	274	440	575	279	58	476	315	1,010	106	1,420	121	10	1,734	-	17	1,343	1,413	22,713
IBNR	4,198	78	286	89	4,686	98	33	210	195	12	17	11	50	172	35	498	21	47	1,281	4	106	238	474	12,837
UPR	3,472	426	1,141	3,326	2,977	336	1,178	574	1,307	451	55	616	315	1,800	85	5,383	1,018	239	6,035	71	503	1,771	3,643	36,721
Reinsurance & Other Creditors	4,120	951	2,959	1,649	-	4,495	-	1,592	1,181	95	64	341	416	2,507	-	1,967	52	87	441	33	1,369	1,373	2,141	27,833
Other Creditors	-	39	799	765	26	267	282	384	542	78	24	87	-	42	336	1,013	46	222	499	43	-	781	98	6,373
TOTAL LIABILITIES	13,694	1,680	8,689	6,845	13,768	6,238	1,834	3,200	3,967	974	286	1,545	1,127	5,825	564	10,728	1,192	807	10,056	190	2,919	5,734	8,837	110,698
SHAREHOLDERS' EQUITY																								
Share Capital	301	15	300	51	620	382	1,300	2	1	120	300	40	500	850	400	2,834	120	1,860	300	100	1,000	1	553	11,948
Share Premium	-	276	625	590	-	-	-	1,824	2,800	-	-	796	1,500	-	637	3,291	-	-	-	1,144	-	-	-	13,484
Revaluation & Other Reserves	1,141	-	422	-	-	3	111	167	137	7	278	179	-	30	-	-	49	265	1,804	-	782	3,680	1,241	10,297
Retained Profit	2,254	441	35	916	4,728	912	343	1,064	(410)	1,258	124	41	(1,054)	1,191	(197)	3,188	1,295	418	6,804	128	1,655	(2,644)	1,721	24,210
Shareholders's Equity	3,695	732	1,382	1,556	5,348	1,296	1,755	3,058	2,528	1,385	702	1,056	946	2,071	841	9,313	1,464	2,543	8,907	1,372	3,437	1,037	3,515	59,939
TOTAL EQUITY & LIABILITIES	17,389	2,412	10,071	8,401	19,116	7,534	3,589	6,259	6,495	2,360	988	2,601	2,072	7,896	1,405	20,041	2,656	3,349	18,964	1,562	6,356	6,770	12,351	170,637

	Appendix 1C: Key Performance Indicators for Non-life Insurers																							
	Alliance	Allied	Altfin	C.B.Z	Cell	Champions	Clarion	Credsurre	Eagle	Evolution	Excellence	Global	Hamilton	Heritage	KMFS	Nicoz	Quality	Regal	RM	Sanctuary	Tetrad Hail	Tristar	Zimnat Lion	Total/Average
Indicator																								
Capital Adequacy																								
Capital Position (\$000)	3,695	732	1,382	1,556	5,348	1,296	1,755	3,058	2,528	1,385	702	1,056	946	2,071	841	9,313	1,464	2,543	8,907	1,372	3,437	1,037	3,515	2,606
Capital Maintenance Ratio (CMR)	246.36%	48.82%	92.13%	103.75%	356.52%	86.41%	116.98%	203.88%	168.52%	92.34%	46.78%	70.43%	63.03%	138.09%	56.05%	620.87%	97.60%	169.53%	593.83%	91.45%	229.15%	69.11%	234.31%	173.74%
Equity/Total Assets Ratio	21.25%	30.36%	13.72%	18.52%	27.98%	17.20%	48.89%	48.87%	38.92%	58.70%	71.01%	40.61%	45.63%	26.23%	59.85%	46.47%	55.12%	75.92%	46.97%	87.83%	54.08%	15.31%	28.46%	35.13%
Solvency Margin	26.05%	98.66%	23.27%	54.57%	132.20%	38.64%	72.88%	129.99%	47.05%	77.62%	149.47%	76.90%	108.50%	40.85%	62.97%	65.80%	91.54%	89.53%	60.15%	895.99%	193.44%	22.37%	59.06%	61.12%
Asset Quality																								
Total Assets (\$000)	17,389	2,412	10,071	8,401	19,116	7,534	3,589	6,259	6,495	2,360	988	2,601	2,072	7,896	1,405	20,041	2,656	3,349	18,964	1,562	6,356	6,770	12,351	170,637
Investments to Assets	34.68%	21.27%	12.50%	19.37%	28.56%	5.86%	31.41%	21.95%	31.14%	22.97%	37.22%	18.13%	24.10%	18.67%	40.12%	44.20%	64.57%	7.20%	66.78%	89.22%	70.21%	42.99%	44.60%	36.06%
Non-Profitable Assets/Total Assets	65.32%	78.73%	87.50%	80.63%	71.44%	94.14%	68.59%	78.05%	68.86%	77.03%	62.78%	81.87%	75.90%	81.33%	59.88%	55.80%	35.43%	92.80%	33.22%	10.78%	29.79%	57.01%	55.40%	63.94%
Investment in Fixed Assets/Total Assets	5.37%	17.08%	3.82%	1.22%	2.54%	18.86%	5.20%	34.73%	44.78%	34.09%	24.24%	30.21%	23.78%	29.49%	8.84%	9.31%	11.07%	67.95%	6.88%	4.48%	22.03%	3.86%	8.64%	13.08%
Premium Debtors/Gross Premium	59.24%	145.52%	136.11%	44.99%	18.91%	57.92%	32.78%	49.27%	13.03%	26.52%	28.05%	53.57%	70.65%	55.76%	122.88%	38.85%	22.02%	2.56%	9.98%	0.00%	35.22%	47.29%	21.98%	37.71%
Premium Debtors/Total Assets	41.31%	61.00%	46.71%	26.32%	17.08%	57.01%	23.55%	26.12%	12.50%	24.94%	13.81%	26.98%	30.23%	37.97%	32.31%	29.02%	9.45%	0.68%	8.32%	0.00%	8.14%	31.65%	17.62%	26.04%
Reinsurance																								
Risk Retention Ratio	42.99%	63.20%	62.18%	36.17%	32.85%	26.54%	95.73%	40.24%	49.94%	52.94%	75.00%	70.96%	56.34%	49.58%	79.01%	66.52%	80.00%	98.17%	68.98%	55.56%	23.40%	55.13%	50.63%	51.64%
Reinsurance Creditors/Reinsurance Premium	59.59%	255.61%	226.40%	52.57%	0.00%	82.50%	0.00%	80.32%	37.86%	9.06%	53.03%	89.51%	107.53%	92.49%	0.00%	39.25%	22.81%	533.10%	9.00%	49.39%	121.60%	67.54%	43.80%	48.85%
Reinsurers' Share of O/S Claims to O/S Claims	40.93%	0.00%	68.68%	55.62%	90.94%	81.26%	36.85%	82.95%	84.51%	23.72%	25.00%	47.16%	80.00%	0.00%	15.93%	80.56%	66.94%	20.00%	36.87%	0.00%	0.00%	47.46%	87.43%	66.32%
Actuarial																								
UPR (\$000)	3,472	426	1,141	3,326	2,977	336	1,178	574	1,307	451	55	616	315	1,800	85	5,383	1,018	239	6,035	71	503	1,771	3,643	36,721
IBNR (\$000)	4,198	78	286	89	4,686	98	33	210	195	12	17	11	50	172	35	498	21	47	1,281	4	106	238	474	12,837
Technical Reserves/Capital	207.56%	68.75%	103.26%	219.42%	143.29%	33.48%	69.03%	25.63%	59.42%	33.44%	10.23%	59.38%	38.57%	95.18%	14.20%	63.15%	70.97%	11.23%	82.14%	5.18%	17.71%	193.77%	117.14%	82.68%
(Outstanding Claims+IBNR)/Capital	142.04%	26.87%	94.57%	31.33%	97.92%	21.89%	11.72%	9.31%	11.22%	16.19%	8.62%	24.88%	11.94%	135.65%	14.69%	8.31%	4.17%	2.17%	26.67%	0.28%	3.57%	91.00%	18.54%	34.18%
Earnings																								
Profit After Tax (\$000)	360	280	(55)	385	1,432	170	369	67	337	78	197	41	116	388	(116)	702	399	37	1,864	17	215	(682)	778	7,380
Return on Equity	9.73%	38.25%	-3.98%	24.71%	26.79%	13.15%	21.03%	2.20%	13.32%	5.62%	28.09%	3.92%	12.32%	18.73%	-13.82%	7.54%	27.25%	1.45%	20.93%	1.24%	6.25%	-65.78%	22.14%	12.31%
Return on Assets	2.07%	11.61%	-0.55%	4.58%	7.49%	2.26%	10.28%	1.07%	5.18%	3.30%	19.95%	1.59%	5.62%	4.91%	-8.27%	3.50%	15.02%	1.10%	9.83%	1.09%	3.38%	-10.07%	6.30%	4.33%
Loss Ratio	54.54%	23.95%	54.94%	33.82%	31.07%	16.66%	31.13%	37.75%	40.58%	55.88%	16.25%	46.38%	23.39%	39.18%	31.16%	44.56%	39.97%	33.70%	48.57%	73.76%	81.51%	36.38%	37.68%	42.35%
Net Commission Ratio	5.32%	4.03%	-0.47%	-16.22%	-6.87%	-6.96%	7.93%	-22.39%	5.35%	11.48%	11.03%	14.01%	5.02%	0.77%	13.46%	16.12%	28.27%	8.55%	11.16%	2.64%	-30.03%	5.46%	12.92%	5.10%
Net Expense Ratio	36.85%	48.83%	53.88%	56.23%	42.98%	92.65%	41.55%	82.54%	42.99%	29.37%	30.74%	38.61%	50.22%	45.52%	115.39%	30.27%	27.92%	51.40%	24.30%	439.82%	46.28%	80.13%	33.30%	42.21%
Combined Ratio	96.71%	76.81%	108.35%	73.83%	67.18%	102.34%	80.60%	97.90%	88.92%	96.73%	58.01%	99.00%	78.63%	85.47%	160.01%	90.95%	96.16%	93.64%	84.03%	516.22%	97.76%	121.97%	83.90%	89.65%
Underwriting Margin	3.29%	23.19%	-8.35%	26.17%	32.82%	-2.34%	19.40%	2.10%	11.08%	3.27%	41.99%	1.00%	21.37%	14.53%	-60.01%	9.05%	3.84%	6.36%	15.97%	-416.22%	2.24%	-21.97%	16.10%	10.35%
Investment Income/NPW Ratio	4.34%	0.76%	0.05%	3.19%	2.35%	0.40%	0.17%	2.72%	2.00%	1.91%	4.69%	2.80%	0.09%	4.93%	0.00%	1.33%	2.41%	0.00%	8.29%	87.25%	29.26%	3.46%	4.85%	3.77%
Investment Income/Total Financial Assets	3.75%	0.95%	0.08%	3.49%	2.44%	1.77%	0.37%	2.64%	3.07%	4.14%	4.65%	5.53%	0.09%	8.91%	0.00%	1.49%	1.28%	0.01%	7.14%	5.25%	2.25%	2.97%	4.42%	3.72%
Liquidity																								
Working Capital (\$000)	1,660	274	490	1,592	4,575	92	1,840	783	(12)	438	477	312	28	(1,075)	501	4,706	(414)	487	5,107	1,344	787	23	(242)	23,772
Current ratio	112.12%	116.80%	106.21%	126.18%	133.30%	101.54%	218.53%	127.79%	99.64%	148.80%	281.76%	121.42%	102.52%	80.82%	319.93%	149.53%	63.87%	183.36%	153.43%	1011.50%	126.97%	100.46%	96.89%	123.09%
Acid Test ratio	35.99%	25.46%	-0.60%	16.43%	37.45%	6.56%	71.94%	31.52%	53.98%	35.83%	136.58%	29.23%	6.67%	7.76%	5.34%	51.47%	7.42%	41.00%	101.18%	944.80%	110.07%	27.82%	22.73%	38.80%
Market Shares																								
Market Share Based on GWP	10.29%	0.86%	2.93%	4.17%	14.66%	6.29%	2.19%	2.82%	5.29%	1.88%	0.41%	1.11%	0.75%	4.56%	0.31%	12.71%	0.97%	0.76%	13.41%	0.13%	1.25%	3.85%	8.40%	100%
Market Share Based on NWP	8.57%	1.05%	3.53%	2.92%	9.32%	3.24%	4.06%	2.19%	5.11%	1.93%	0.60%	1.53%	0.82%	4.38%	0.48%	16.37%	1.50%	1.44%	17.91%	0.14%	0.57%	4.11%	8.24%	100%
Market Share Based on Total Assets	10.19%	1.41%	5.90%	4.92%	11.20%	4.42%	2.10%	3.67%	3.81%	1.38%	0.58%	1.52%	1.21%	4.63%	0.82%	11.74%	1.56%	1.96%	11.11%	0.92%	3.72%	3.97%	7.24%	100%

[illegible]

Appendix 2B: Statement of Financial Position-Reinsurers US\$'000										
	Baobab	Collonade	FBC Re	FMRE	Grand Re	New Re	Tropical	ZB Re	Zep-Re	Total
ASSETS										
Non-Current Assets										
Fixed Assets	582	531	334	236	407	275	701	634	469	4,169
Investments	31,402	54	4,138	2,062	8,794	15	205	1,790	-	48,459
	31,983	585	4,472	2,298	9,201	290	906	2,424	469	52,628
Technical Assets										
Reinsurers' Share of Outstanding Claims	1,958	101	3,848	676	335	18	1,455	-	-	8,392
Deferred Acquisition Cost (DAC)	1,866	-	983	774	628	150	249	-	179	4,829
	3,824	101	4,831	1,451	962	168	1,704	-	179	13,220
Current Assets										
Premium Receivables	5,402	2,424	2,888	3,304	2,677	1,010	2,121	2,596	824	23,247
Money Market Investments	331	427	156	83	176	700	2,504	80	703	5,160
Cash & cash equivalents	269	58	7,373	6,089	237	248	398	6,447	216	21,336
Inventory and Other Debtors	4,364	143	79	455	23	72	157	231	-	5,524
	10,365	3,053	10,496	9,931	3,113	2,030	5,180	9,354	1,744	55,266
TOTAL ASSETS	46,172	3,739	19,799	13,680	13,276	2,488	7,790	11,778	2,391	121,114
Liabilities										
Deferred Tax Liabilities	-	(6)	(315)	72	171	-	70	430	-	421
Current Tax provisions	553	59	144	-	58	72	-	51	-	938
Long term loan	-	-	-	-	300	-	-	-	-	300
IBNR	714	44	887	1,187	146	207	988	933	-	5,106
Gross Outstanding Claims	3,977	317	5,628	939	561	56	1,531	245	688	13,942
UPR	4,674	282	2,988	2,893	1,422	730	1,244	2,268	625	17,127
Retrocession Creditors	7,064	1,516	1,465	1,154	668	405	1,324	475	-	14,071
Other Creditors	1,221	21	799	1,733	241	-	286	811	-	5,111
Total Liabilities	18,203	2,232	11,597	7,978	3,567	1,470	5,442	5,213	1,313	57,015
SHAREHOLDERS' EQUITY										
Share Capital	400	536	600	1	400	700	0	6	277	2,921
Share Premium	23,972	548	2,203	3,934	-	-	410	2,494	-	33,561
Revaluation & Other Reserves	6,462	-	2,870	254	5,260	239	-	11	-	15,096
Retained Profit	(2,865)	423	2,529	1,513	4,049	79	1,937	4,055	801	12,521
Shareholders's Equity	27,970	1,507	8,202	5,702	9,709	1,018	2,347	6,565	1,079	64,099
TOTAL EQUITY & LIABILITIES	46,172	3,739	19,799	13,680	13,276	2,488	7,790	11,778	2,391	121,114

	Appendix 2C: Key performance Indicators for Reinsurers									
	Baobab Re	Colonnade	FBC Re	FMRE	Grand Re	New Re	Tropical Re	ZB Re	Zep - Re	Total/Average
Indicator										
Capital Adequacy										
Shareholders' Equity (Capital Base) \$ 000	27,970	1,507	8,202	5,702	9,709	1,018	2,347	6,565	1,079	7,122
Capital Maintenance Ratio (CMR)	1864.66%	100.47%	546.79%	380.12%	647.27%	67.87%	156.48%	437.68%	71.91%	474.81%
Equity/Total Assets Ratio	60.58%	40.31%	41.43%	41.68%	73.13%	40.92%	30.13%	55.74%	45.11%	52.92%
Solvency Margin	82.20%	85.00%	69.27%	64.88%	163.51%	104.95%	30.77%	48.95%	34.74%	73.27%
Asset Quality										
Total Assets (\$ 000)	46,172	3,739	19,799	13,680	13,276	2,488	7,790	11,778	2,391	121,114
Investments to Assets	69.31%	14.41%	58.93%	60.19%	69.35%	38.71%	39.88%	70.61%	38.46%	61.89%
Non-Profitable Assets/Total Assets	30.69%	85.59%	41.07%	39.81%	30.65%	61.29%	60.12%	29.39%	61.54%	38.11%
Investment in Fixed Assets/Total Assets	1.26%	14.20%	1.69%	1.73%	3.06%	11.05%	9.00%	5.38%	19.60%	3.44%
Premium Debtors/Gross Premium	55.05%	90.73%	35.22%	24.76%	101.05%	62.54%	34.52%	19.67%	30.97%	38.55%
Premium Debtors/Total Assets	11.70%	64.83%	14.59%	24.15%	20.16%	40.59%	27.23%	22.04%	34.47%	19.19%
Reinsurance										
Risk Retention Ratio	83.29%	60.83%	77.66%	56.80%	67.06%	75.73%	78.03%	60.22%	87.42%	69.35%
Retrocession Creditors/Retrocession Premium	430.73%	144.82%	80.00%	20.02%	76.58%	103.32%	98.11%	9.03%	0.00%	76.12%
Reinsurers' Share of O/S Claims to O/S Claims	49.24%	32.00%	68.37%	72.02%	59.62%	32.14%	95.04%	0.00%	0.00%	60.19%
Actuarial										
UPR	4,674	282	2,988	2,893	1,422	730	1,244	2,268	625	17,127
IBNR	3,977	317	5,628	939	561	56	1,531	245	688	13,942
Technical Reserves/Capital	30.93%	39.76%	105.05%	67.21%	20.43%	77.21%	118.21%	38.27%	121.70%	48.47%
(Outstanding Claims+IBNR)/Capital	16.77%	23.94%	79.43%	37.30%	7.29%	25.83%	107.31%	38.27%	63.74%	29.72%
Earnings										
Profit After Tax	696	438	1,215	800	(35)	161	754	792	801	5,621
Return on Equity	2.49%	29.04%	14.81%	14.03%	-0.36%	15.82%	32.11%	12.06%	74.28%	8.77%
Return on Assets	1.51%	11.70%	6.13%	5.85%	-0.27%	6.47%	9.68%	6.72%	33.51%	4.64%
Loss Ratio	23.22%	15.93%	28.93%	38.73%	33.50%	12.84%	47.01%	42.49%	29.14%	33.61%
Net Commission Ratio	33.24%	19.33%	41.35%	25.81%	23.17%	33.19%	26.09%	29.84%	29.25%	30.30%
Net Expense Ratio	41.04%	28.82%	15.06%	22.12%	42.38%	31.52%	9.30%	21.67%	7.50%	23.94%
Combined Ratio	97.50%	64.09%	85.34%	86.66%	99.05%	77.56%	82.40%	94.00%	65.90%	87.85%
Underwriting Margin	2.50%	35.91%	14.66%	13.34%	0.95%	22.44%	17.60%	6.00%	34.10%	12.15%
Investment Income/NPW Ratio	7.96%	0.62%	7.31%	0.05%	-1.39%	0.00%	1.24%	7.08%	2.04%	4.25%
Investment Income/Total Financial Assets	2.05%	9.03%	4.05%	0.05%	-0.27%	0.00%	9.90%	6.83%	21.92%	2.54%
Liquidity										
Working Capital	(2,793)	943	4,529	5,136	1,049	728	1,727	4,952	610	16,882
Current ratio	83.56%	142.65%	141.94%	182.24%	134.67%	149.52%	133.48%	212.51%	146.46%	132.71%
Acid Test ratio	3.53%	21.95%	69.72%	98.83%	13.64%	64.49%	56.27%	148.29%	70.05%	51.34%
Market Shares										
Market Share Based on GPW	16.27%	4.43%	13.60%	22.13%	4.39%	2.68%	10.19%	21.89%	4.41%	100%
Market Share Based on NPW	19.54%	3.89%	15.23%	18.12%	4.25%	2.92%	11.46%	19.01%	5.56%	100%
Market Share Based on Total Assets	38.12%	3.09%	16.35%	11.30%	10.96%	2.05%	6.43%	9.72%	1.97%	100%

									Appendix 3A:Statement of Comprehensive Income for Insurance Brokers US'000																												
	Alexander Forbes	Ambassador	Armour Khan	Aon - Risk Consulting	Auto & General	Broksure	Capitol	Care	Eaton & Youngs	Eureka	Glenrand	Goldstick	HRIB	Hunt Adams	Insuraserve	L.A.Guard	Marsh	Matden	Momentum	Navistar	Paul Mkondo	Perpro	Progressive	Rainbow	SATIB	TIB	Victory	ZIB	Total								
Premium Written	3,611	130	317	7,397	158	367	3,056	1,155	2,965	1,276	1,537	252	4,238	3,305	1,130	225	4,272	187	2,115	3,359	45	249	1,866	56	1,409	1,384	421	3,556	50,037								
Premium due to Insurers	2,946	104	264	5,746	140	319	2,482	954	2,484	989	1,270	195	3,532	2,780	943	188	3,499	177	1,755	2,956	36	182	1,404	48	1,156	1,101	344	2,971	40,965								
Brokerage Commission	665	26	52	1,651	19	48	575	201	481	287	267	57	705	525	187	38	774	9	360	403	8	67	463	8	253	282	77	585	9,072								
less Commission paid	31	-	-	-	2	-	-	-	8	-	23	13	150	27	-	-	4	-	-	-	1	4	109		-	-	-	-	371								
Net Brokerage Commission	634	26	52	1,651	17	48	575	201	473	287	244	44	555	498	187	38	770	9	360	403	7	64	354	8	253	282	77	585	8,701								
Other Income	23	3	-	-	23	-	1	-	51	37	59	3	0	29	23	8	9	2	147	2	22	72	180	-	-	13	17	130	854								
Admin Expenses	630	25	46	1,409	38	36	428	202	378	322	595	9	369	613	167	42	435	15	282	400	18	105	511	15	269	271	72	713	8,414								
Profit Before Tax	27	4	6	241	3	12	148	(1)	146	2	(291)	38	186	(86)	43	4	344	(3)	224	5	11	31	23	(6)	(17)	24	23	2	1,140								
Taxation	7	2	2	62	1	3	-	0	41	-	-	-	48	-	11	2	62	-	69	2	1	1	-	-	-	5	7	(5)	320								
Profit after Tax	20	2	4	179	2	9	148	(2)	106	2	(291)	38	138	(86)	33	1	282	(3)	155	3	10	30	23	(6)	(17)	20	16	6	821								

	APPENDIX 3B:STATEMENT OF FINANCIAL POSITION-US\$('000)																												
	Alexander Forbes	Ambassador	Aon - Risk Services	Armour Khan	Auto & General	Broksure	Capitol	Care	Eaton & Youngs	Eureka	Glenrand	Goldstick	HRIB	Hunt Adams	Insuraserve	LA Guard	Marsh	Matden	Momentum	Navistar	Paul Mkond	Perpro	Progressive	Rainbow	SATIB	TIB	Victory	ZIB	Total
Share Capital	500	117	-	32	310	20	116	77	100	50	50	0	1	1	0	100	5	0	100	65	20	40	120	15	-	50	200	50	2,139
Share Premium	474	-	-	-	99	68	-	37	-	-	-	-	-	175	-	-	-	10	-	0	126	-	-	-	-	-	182	-	1,171
Non-Distributable Reserves	52	-	1,207	100	36	12	-	-	82	18	58	70	21	134	255	-	412	-	319	13	30	20	100	-	100	16	10	185	3,251
Retained Income	(692)	-	241	4	1	18	408	18	278	169	257	38	326	(328)	85	1	442	(2)	71	28	(15)	85	433	(6)	63	51	47	66	2,086
Shareholder's Equity	334	117	1,449	136	446	118	524	132	460	238	365	108	347	(18)	341	101	859	8	490	106	162	145	654	9	163	117	439	301	8,648
Liabilities																													
Non-Current Liabilities	24	-	-	-	-	-	13	-	-	3	-	4	265	-	-	-	13	2	154	-	-	9	315	14	-	-	10	2	829
Current Liabilities																													
Payable Premiums	821	-	2,644	264	-	81	301	6	293	266	164	59	1,073	1,253	377	59	1,148	13	231	1,236	22	-	332	17	18	360	23	102	11,163
Other	238	38	118	-	4	-	-	-	16	-	-	10	-	-	-	-	49	9	37	237	16	0	118	-	49	14	4	173	1,128
Brokers commision payable	-	-	-	-	-	-	-	-	-	-	-	-	36	10	-	-	-	-	-	-	-	-	-	-	-	-	-	-	46
Provisions	24	-	-	-	-	-	27	-	-	-	28	-	38	-	-	-	-	-	-	-	-	-	-	-	-	23	-	-	141
Sundry creditors	-	-	-	-	-	-	-	1	-	-	3	-	17	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	21
Taxation	-	-	-	-	-	-	-	-	-	14	-	-	40	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	54
Other	-	-	-	-	-	-	95	-	-	629	53	34	6	154	-	-	185	(0)	-	-	10	3	207	-	-	43	-	219	1,637
Total Non-Current Liabilities	1,083	38	2,762	264	4	81	423	7	309	909	248	102	1,209	1,417	377	59	1,382	21	268	1,473	48	3	657	17	67	440	26	494	14,190
TOTAL LIABILITIES & EQUITY	1,441	155	4,211	401	450	198	960	138	769	1,149	613	214	1,821	1,399	717	161	2,254	31	913	1,579	210	157	1,625	40	231	557	475	797	23,666
Property and Equipment	-	104	-	42	65	-	-	6	-	-	-	-	-	-	-	-	-	-	4	2	-	-	-	-	2	1	23	-	250
Land & Buildings	-	-	-	-	140	-	161	90	189	54	-	115	350	-	250	52	150	-	-	65	100	-	180	-	-	-	15	181	2,091
Furniture and Fittings	16	-	-	45	45	14	13	1	69	8	14	5	9	7	26	6	34	3	14	24	31	18	12	4	4	9	7	10	449
Motor Vehicles	86	-	-	76	105	20	57	-	-	71	75	10	240	144	29	23	18	2	75	116	6	37	41	15	-	62	48	29	1,384
Computer Equipment	33	-	-	25	5	15	6	1	-	15	35	7	32	8	7	12	10	-	5	9	2	5	11	3	5	12	5	28	297
Computer Software	-	-	-	10	2	0	-	1	-	-	62	-	-	93	-	18	0	-	-	-	-	-	1	-	-	-	6	5	197
Investments	-	-	-	50	35	26	120	26	14	-	147	-	-	-	7	2	-	-	169	15	40	21	22	-	-	-	135	69	897
Other	-	-	-	-	-	-	-	-	-	-	8	-	43	82	-	1	-	-	1	-	6	3	1	-	-	-	200	-	345
Total Non- Current Assets	135	104	-	248	397	76	357	124	271	148	340	137	675	334	318	114	212	5	267	231	185	84	268	22	12	84	439	322	5,910
Commission Receivable	-	-	2,756	52	8	5	4	1	-	-	196	-	1,027	740	-	38	686	-	-	1,291	-	-	1,086	-	175	-	6	112	8,181
Accrued Investment Income	-	-	-	2	18	-	-	-	-	329	-	-	-	-	0	3	-	-	-	-	10	-	-	-	-	-	21	-	384
Other Debtors & Inventory	612	47	566	99	-	95	106	0	241	401	53	-	20	73	331	2	583	1	586	21	7	12	264	-	17	198	3	295	4,632
Cash & Cash Equivalents	694	5	888	-	27	22	494	13	258	271	25	77	99	252	68	5	772	25	60	36	7	61	7	18	27	275	6	67	4,559
Total Current Assets	1,306	52	4,211	153	53	122	604	14	498	1,002	274	77	1,146	1,065	399	47	2,041	26	646	1,348	25	73	1,357	18	219	473	36	474	17,757
TOTAL ASSETS	1,441	155	4,211	401	450	198	960	138	769	1,149	613	214	1,821	1,399	717	161	2,254	31	913	1,579	210	157	1,625	40	231	557	475	797	23,666

Appendix 4A: Statement of Comprehensive Income for Reinsurance Brokers (\$)

	Aon Benfield	Pan African	RBI	Total
Premium Written	20,398,473	6,130,045	2,680,096	29,208,614
Premium due to Reinsurers	19,424,823	5,894,678	2,590,210	27,909,710
Brokerage Commission	973,650	235,367	96,934	1,305,951
less Commission Paid	-	-	-	-
Net Brokerage Commission	973,650	235,367	96,934	1,305,951
Other Income	-	14,539	17,400	31,939
Less Administration Expenses	408,017	136,177	120,872	665,066
Profit before Tax	565,633	113,729	(6,539)	672,824
Taxation	145,651	32,318	(1,684)	176,285
Profit after Tax	419,983	81,411	(4,855)	496,539

Appendix 4B: Statement of Financial Position for Reinsurance Brokers (\$)

	Aon – Benfield	Pan African	RBI	Total
Share Capital	-	1,000	200,000	201,000
Share Premium	-	84,000	-	84,000
Non-Distributable Reserves	136,539	-	21,172	157,711
Retained Income	1,614,658	186,257	(94,096)	1,706,819
Shareholder's Equity	1,751,197	271,257	127,075	2,149,529
Liabilities				
Non-Current Liabilities	-	-	-	-
Current Liabilities				
Payable Premiums	9,369,850	384,592	3,133,142	12,887,584
Other	148,036	-	-	148,036
Brokers Commission Payable	-	-	-	-
Provisions	-	23,174	38,021	61,195
Sundry creditors	-	16,340	-	16,340
Taxation	-	-	-	-
Other	-	51,337	108,469	159,806
Total Current Liabilities	9,517,886	475,443	3,279,631	13,272,960
TOTAL LIABILITIES & EQUITY	11,269,083	746,700	3,406,707	15,422,490
Property and Equipment	-	-	-	-
Land & Buildings	-	160,000	-	160,000
Furniture and Fittings	-	26,714	-	26,714
Motor Vehicles	-	53,972	-	53,972
Computer Equipment	-	14,397	3,704	18,101
Computer Software	-	-	-	-
Investments	-	-	256,208	256,208
Other	-	-	-	-
Total Non- Current Assets	-	255,083	259,912	514,995
Commission Receivable	9,166,052	25,494	-	9,191,546
Accrued Investment Income	-	-	-	-
Other Debtors & Inventory	1,235,994	-	2,745,954	3,981,948
Cash & Cash Equivalents	867,037	466,123	400,841	1,734,001
Total Current Assets	11,269,083	491,617	3,146,795	14,907,495
Total Assets	11,269,083	746,700	3,406,707	15,422,490